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TRADE MARKS, COLLECTIVE MARKS, CERTIFICATION MARKS, PASSING OFF AND DOMAIN NAMES

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6.01 Trade mark laws invariably refuse to allow geographical marks to be registered on the ground that they are insufficiently distinctive, as well as the public interest of leaving to traders the names of the geographical areas in which they are located, particularly where a positive commercial reputation is associated with products coming from those areas. Similarly, trade mark laws provide as a defence to infringement the use of a person's address or an indication of the geographical origin of goods or services. Excepted from the trade mark rules

that disqualify the registration or enforcement of geographical marks are collective marks and certification marks, as well as registered GIs.

The European rules that relate to these categories of trade marks are discussed in this chapter. **6.02**

A. EUROPEAN TRADE MARKS LEGISLATION

Both Council Regulation (EC) No 207/2009 of 26 February 2009 on the Community trade mark¹ ('Community Trade Mark Regulation') and Directive 2008/95/EC of the European Parliament and of the Council of 22 October 2008 to approximate the laws of the Member States relating to trade marks² ('Trade Marks Directive') define as 'signs of which a trade mark may consist' those signs which 'are capable of distinguishing the goods or services of one undertaking from those of other undertakings'.³ **6.03**

In 2007 the European Council, recalling that the Community trade mark system had been designed to coexist with the national trade mark systems and that more than a decade had passed since the creation of the Community trade mark, identified the need for an overall assessment of the functioning of the Community trade mark system.⁴ It invited the Commission to start work on identifying whether the existing instruments of cooperation between OHIM and national trade mark offices could be intensified and broadened. In its 2008 Small Business Act the Commission pledged to make the Community trade mark system more accessible to small and medium enterprises (SMEs).⁵ The Commission's 2008 Communication on an Industrial Property Rights Strategy for Europe reiterated its commitment to an effective and efficient trade mark system and concluded that an overall evaluation of the trade marks system was appropriate.⁶ Finally, in its 2011 IPR strategy for Europe,⁷ the Commission announced a review of the trade mark system in Europe with a view to modernising the system, both at EU and at national level, by making **6.04**

1 OJ 2009 L 78, p. 1 codified and repealed Council Regulation (EC) No 40/94 of 20 December 1993 on the Community trade mark (OJ 1994 L 11, p. 1).

2 OJ L 299, 8.11.2008, p. 1.

3 Art 4, Community Trade Mark Regulation, Art 2, Trade Marks Directive.

4 Competitiveness Council Conclusions of 21 and 22 May 2007, Council document 9427/07.

5 Communication from the Commission "Think Small First", A "Small Business Act" for Europe', COM(2008) 394 final of 25 June 2008.

6 COM(2008) 465 final of 16 July 2008.

7 A Single Market for Intellectual Property Rights: Boosting creativity and innovation to provide economic growth, high quality jobs and first class products and services in Europe' COM(2011) 287.

it more effective, efficient and consistent overall. The main component of the evaluation was a study that the Max Planck Institute for Intellectual Property and Competition Law undertook on behalf of the Commission. The study was carried out between November 2009 and February 2011.⁸ The study involved consultations with stakeholders. The Final Report found that further convergence of trade mark laws and practices in the EU was required. The Council accepted the findings of this report in its Conclusions of 25 May 2010.⁹ On 2 April 2013 the EU Council released a proposed amending regulation.¹⁰ Article 1 of this instrument proposes that as a consequence of the entry into force of the Lisbon Treaty, the terminology of the Community Trade Mark Regulation should be updated by changing ‘Community trade mark’ to ‘European trade mark’. It also proposed that Art 2(1) be amended to replace ‘the Office for Harmonisation in the Internal Market’ with the ‘European Union Trade Marks and Designs Agency’.

6.05 In this chapter the previous terminology is used. A subsequent edition of this book will update the terminology when the proposed regulation is adopted.

6.06 This chapter addresses those aspects of European trade marks law which bear on geographical marks.

1. Distinctiveness

6.07 Article 3(1)(b) of the Trade Marks Directive¹¹ and Art 7(1)(c) of the Community Trade Marks Regulation provide that ‘trade marks which are devoid of any distinctive character’ shall not be registered or if registered shall be liable to be declared invalid.

6.08 As the OHIM Trade Marks Examination Manual¹² emphasises, Art 7(1)(c) of the Community Trade Marks Regulation does not exclude GIs as such from registration, but ‘trade marks which consist exclusively of signs or indications which may serve, in trade, to designate the kind, quality, geographical origin

8 See Max Planck Institute for Intellectual Property and Competition Law, *Study on the Overall Functioning of the European Trade Mark System*, Munich, 15.02.2011 http://ec.europa.eu/internal_market/indprop/tm/index_en.htm accessed 3 April 2024.

9 Competitiveness Council Conclusions of 25 May 2010 on the future revision of the Trade Mark system in the EU, OJ C 140, 29.5.2010, p. 22.

10 Proposal for a Regulation of the European Parliament and of the Council amending Council Regulation (EC) No 207/2009 on the Community trade mark, COM(2013) 161 final, 2 April 2013.

11 Art 7(1)(b) of the Community Trade Mark Regulation.

12 OHIM, Manual Concerning Proceedings before the Office for Harmonization in the Internal Market (Trade Marks and Designs), Part B, Examination (hereinafter ‘the OHIM Trade Marks Manual’).

or other characteristics of the goods or services'.¹³ As with all other descriptive terms, the test is whether the geographic term describes objective characteristics of the goods and services, assessed with reference to the goods and services claimed and with reference to the perception by the relevant public.¹⁴ The OHIM Trade Marks Manual points out that the descriptive character of the geographical term may pertain to:

- the place of production of the goods;
- the subject matter of a good (eg what city or region a travel guide is about, or the area covered by a newspaper);
- the place at which the services are rendered;
- the place where the company rendering the services has its seat and from where the rendering of the services is managed and controlled;
- the nature of the goods to which the service relates (eg 'Chinese restaurant').¹⁵

The OHIM Trade Marks Manual requires that the trade mark is not descriptive in any of these respects.¹⁶ **6.09**

The OHIM Trade Marks Manual states that an individual trade mark which consists exclusively of a PGI/PDO for wines or spirits (eg word mark 'Tequila') must be refused under Art 7(1)(c) and can only be registered as a collective mark.¹⁷ Moreover, this objection will naturally be appropriate where a trade mark consists exclusively of a geographical name which is famous for the goods even where this geographical name has no protection as an official PGI/PDO.¹⁸ **6.10**

The UK Trade Marks Manual identifies the following factors which will be considered by examiners in order to assess the potential for other traders to use a sign as a geographical designation: **6.11**

- (a) whether the geographical location has a reputation for the goods/services listed in the application;
- (b) if not, whether the characteristics of the geographical location concerned indicate that the place is, or in the future is liable to become, a geographical source for the goods/services listed in the application;
- (c) the extent to which the location is known to the relevant class of persons in the UK – and what it is known for.

¹³ Ibid., at 37.

¹⁴ Ibid.

¹⁵ Ibid.

¹⁶ Ibid.

¹⁷ Ibid., at 46.

¹⁸ Ibid.

6.12 The UK Trade Marks Manual advises that examiners will pay particularly close attention to the following types of applications:

- (i) **Geographical indications with a reputation (or in an area with a reputation) for the goods/services listed in the application or for closely related goods/services**
Such applications are likely to be refused unless the applicant can show why the name applied for is nevertheless unlikely to be used by other undertakings in relation to the goods or services concerned. For example, the name of a particular spring may be registrable for water even though it is in an area with a reputation for that product, if
 - (1) the applicant can show that he is the sole owner of the rights to exploit the spring water and no other water in that area is entitled to be sold under the name of the spring, and
 - (2) the name is not so well known as being *merely* the name of a spring as to be incapable of also designating the trade source of the product.
- (ii) **The goods are natural produce**
The names of places which are likely to be the source of natural produce are unlikely to be registrable as trade marks for such goods even if the place identified by the mark has no specific reputation. However, the names of very small locations (small in this sense means area as well as population) are unlikely to be used in trade as designations of geographical origin because – without reputation – the place is unlikely to mean anything to the relevant public. A place will have to be obscure before its name could be registered as a trade mark for *unprocessed* products of the kind frequently sold from roadsides and farm shops, such as fruit and vegetables, flowers, potatoes, water, eggs and milk. A slightly more relaxed view may be taken where the product is *processed* natural produce. Again, without a specific reputation, the goods are more likely to be identified with the (generally larger) place of processing, or the name of the wider area, rather than the small villages where the raw materials were grown.
- (iii) **Local Services**
A cautious approach will be taken to the registration of geographical names for local services such as hairdressing, window cleaning and retail-type services such as the organisation of car boot sales. However, each case will be judged on its merits and the names of very small places (population of less than 5000) may still be registrable.

6.13 In relation to applications for signs which are the names of other places with no reputation for the goods/services in the application and where the application does not include natural produce or local services the UK Trade Marks Manual lists the following criteria against which registrability will be assessed:

- (a) How well known the name is as a geographical location. Names that are well known as being a geographical location are less likely to be registrable compared to the names of obscure or remote places. However, a name which is well known but which is fanciful or exotic in relation to the type of goods or services listed in the application will not be refused simply because it is well known. For example,

- 'Marrakech' may be seen as simply a fancy and exotic name for motor cars (but may be a plausible indication of the geographical source of other goods, such as carpets, and therefore not registrable for those goods).
- (b) The goods and services with which the place is associated (if any). For example, if the mark consists of the name of a town with significant manufacturing industry it will be reasonable to assume that the town is, or will become, a source of other manufactured products. On the other hand a rural location is less likely to be the source of a product which requires heavy industry, such as vehicles or their parts and fittings.
 - (c) Other characteristics of the place, including its size.

The UK Trade Marks Manual points out that for most goods, the larger the location the more likely it will appear as a source of goods. Consequently, there are likely to be difficulties in registering the names of well-known towns and cities in the UK as trade marks for many types of products. In the case of London it is pointed out that the well-known central districts, such as Mayfair and Westminster, have little or no manufacturing industry and their names would probably not be taken as the geographical origin of goods unless the area has a specific reputation. The same applies to services, although a more cautious approach would be justified with local services. It suggests that suburbs or outlying districts of London, such as Wimbledon, should be treated the same as a town of a comparable size. However, it may be possible to register names where, because of the type of place it is, the name appears to be an unlikely description of the geographical origin of the goods or services, eg HENLEY for steel. **6.14**

An early illustration of this principle was *Magnolia Metal Company's Trade-Marks*¹⁹ where the Court of Appeal, noting the existence of obscure towns in the USA named 'Magnolia', held that its primary significance for UK consumers was not geographical. **6.15**

A recent UK illustration of the successful registration of a geographical trade mark was the decision of the Examiner in *OZARK (Trade Mark: Invalidity)*,²⁰ which concerned the word mark 'OZARK' which was opposed by Wal-Mart Stores, Inc, a US-based department store group. The objection was based on the fact that the word 'OZARK' was an indication of geographical origin, an area of high lands in central southern USA. The Hearing Officer considered that it would not be seen by consumers in the UK as anything other than an invented word. He said that in the unlikely event that UK consumers under- **6.16**

19 [1897] 2 Ch 371.

20 [2002] UKIntelP o14902.

stood the geographical significance of OZARK he did not accept that they would be deceived into believing that it had some direct reference to the goods. Interestingly, it was pointed out that Wal-Mart Stores, Inc had obtained the registration of the trade mark 'OZARK TRAIL' in the USA, where its geographical significance was likely to be known.

- 6.17** In relation to overseas place names, the UK Trade Marks Manual points out that in practice, it may be easier to register the name of a small or medium-size overseas location than it would be to register the name of a comparable size location in the UK for the same product.
- 6.18** In Case C-265/00 *Campina Melkunie BV v Benelux-Merkenbureau*²¹ the ECJ determined that a trade mark which is composed of a number of elements, each of which is descriptive of the goods/services in the application, is excluded from registration under the Uniform Benelux Law on Trade Marks unless the trade mark is perceptibly more than the sum of the meanings of its descriptive parts. That case concerned the sign 'BIOMILD' for food products in Classes 29, 30 and 32. This was considered to be merely descriptive of the qualities of those goods, namely: 'biological' and 'mild'.
- 6.19** In a geographical marks context, the mark EUROLAMB was found to be unregistrable on the grounds that the element EURO is commonly used to indicate 'European' and conjoining EURO and LAMB therefore results in nothing more than a composite description of the kind and geographical origin of the goods, which is no more registrable than the term 'European Lamb'.²²
- 6.20** Similarly, in Australia a word of *prima facie* geographical signification will be rejected for registration, particularly if goods of the kind for which it is sought to be registered are produced at the place or in the area,²³ or if it is reasonable to suppose that such goods would be produced there in the future.²⁴

21 [2004] ECR I-01699.

22 EUROLAMB trade mark case [1997] RPC 279.

23 MICHIGAN for earth moving equipment, *Clark Equipment Company v Registrar of Trade Marks* (1964) 111 CLR 511, at 515–516 (High Court).

24 OXFORD for printed publications, *Chancellor, Masters and Scholars of the University of Oxford (Trading as Oxford University Press) v Registrar of Trade Marks* (1990) 24 FCR 1 at 23 (Full Federal Court); COLORADO refused for outdoor bags, *Colorado Group Ltd v Strandbags Group Pty Ltd* (2007) 164 FCR 506 (Federal Court).

2. Superseded Geographical Names

The Australian Trade Marks Examination Manual contains a chapter on superseded geographical names which might provide some guidance for European practice. It provides that superseded geographical names that have no connection with the goods such as *Byblos* (Class 25), which is the ancient name for the Lebanese town of Jubayl, have a level of inherent adaptation to distinguish that will allow *prima facie* acceptance. Other names which have been officially superseded recently but are still in popular usage may require some evidence or could be accepted if there are any other circumstances which support doing so. These could include names such as ‘Peking’, ‘Ceylon’ and ‘Leningrad’ where the original geographical meaning is still very much the primary signification of the name and is still being used interchangeably with the new name. Some ancient place names which are no longer population centres presently have tourist significance and therefore could attract a ground for rejection, depending on the services claimed.²⁵ **6.21**

3. Acquired Distinctiveness of Geographical Signs

In Case C-353/03 *Société des produits Nestlé SA v Mars UK Ltd* the ECJ determined that a mark may acquire a distinctive character as a result of being used as part of, or in conjunction with, another mark. Thus a mark that, for example, comprises in part a geographical reference, which could be regarded as descriptive, could be registered if part of a trade mark which includes a distinctive sign. The UK Trade Marks Manual gives the example of ‘HARDCASTLE’S YORKSHIRE BITTER’ as a sign which is registrable. **6.22**

As the case law set out below indicates, it must first be ascertained whether the term is known to the relevant public as a geographical term. Secondly, the relevant public must understand it as a reference to the geographic place used in connection with the claimed goods or services. In other words, the geographic term must not be understood as having a mere suggestive or fanciful association with the relevant products, eg Mont Blanc would not be understood as a place of production for writing instruments. Thirdly, the geographical place must be currently associated, in the mind of the relevant public, with the category of goods in question, or the geographical name must be liable to be used in future by the undertakings concerned as an indication of the geographical origin of that category of goods. In this assessment, regard must be had to the degree of familiarity amongst the public with the geographical name, with the **6.23**

²⁵ Australian Trade Marks Manual, at 15.4

characteristics of the place designated by the name, and with the category of the goods concerned.²⁶

- 6.24** Registration is excluded also for those geographical names that are liable to be used by undertakings,²⁷ however the registration of geographical names is not excluded when the public is unlikely to believe that the category of goods concerned originates there.²⁸
- 6.25** The OHIM Trade Marks Manual points out that whether an existing geographical term will, for the relevant goods, be understood as having an informational value about the place of production, or rather as a fanciful term, also largely depends on the nature of the goods.²⁹ For example, it points out that for wine, a geographical name is always perceived as an indicator of origin because wine must carry a correct indication of its origin and for agricultural products or drinks (mineral water, beer), geographic names usually are meant to refer to the place of production.³⁰ On the other hand for textile and body care products, there may be a tradition of production in some places whereas for other places the term might be fanciful.
- 6.26** The OHIM Trade Marks Manual refers to the widespread practice of using fashionable city names for goods unrelated to the ground for which the city is known (Hollywood for chewing gum) or names of certain fashionable suburbs or shopping streets (Champs Élysées, Manhattan) and considers that as these will be perceived as suggestive terms, registration should not be refused.³¹
- 6.27** The OHIM Trade Marks Manual acknowledges that it is current branding practice for city names to be used as a basis for series of model designations for mechanical goods such as cars (eg SEAT Cordoba, Toledo, Malaga) which are unrelated to the place of production and the case is also true for high-technology goods such as computers, telecommunication products and consumer electronics (eg Germansat).³²
- 6.28** For services, a geographic term will, in many instances, be perceived as the place of the location of the enterprise and registration will be refused to keep

26 Ibid., at para 32.

27 *Nordmilch eG v Office for Harmonisation in the Internal Market (Trade Marks and Designs) (OHIM)* (Community trade mark) [2003] EUECJ T-295/01, at para 31.

28 Ibid., at para 33.

29 OHIM Trade Marks Manual at 39.

30 Ibid.

31 Ibid.

32 Ibid.

that location free (eg Munich financial services, Zürich insurance).³³ However, the mere fact that the service can be rendered at the place concerned does not justify a refusal (eg 'Cloppenburg' for retail services³⁴).

Community trade mark law allows that through use in the course of trade, geographical marks may acquire the distinctiveness necessary for registration.³⁵ This will mean that registrable geographical marks will have attracted the secondary meaning of having the origin of the applicant undertaking. **6.29**

4. Case Law

(a) 'CHIEMSEE'

Joined Cases C-108/97 and C-109/97³⁶ concerned an enterprise 'Windsurfing Chiemsee' which was located near the shores of the Chiemsee, the largest lake in Bavaria, which was a tourist destination with surfing as one of the activities carried on there. It sold sports fashion clothing, shoes and other sports goods bearing the designation 'Chiemsee'. Between 1992 and 1994, Windsurfing Chiemsee registered that designation in Germany as a picture trade mark in the form of various graphic designs, in some cases with additional features or words such as 'Chiemsee Jeans' and 'Windsurfing – Chiemsee – Active Wear'. It had not obtained a German word mark as the German registration authorities regarded the word 'Chiemsee' as an indication which may serve to designate geographical origin and which is consequently incapable of registration as a trade mark. **6.30**

Messrs Huber and Attenberger had sold sports clothing since 1995 in a town situated near the shores of the Chiemsee. The clothing carried the designation 'Chiemsee', but this was depicted in a different graphic form from that of the trade marks which identified Windsurfing Chiemsee's products. Windsurfing Chiemsee challenged the use by Huber and Attenberger of the name 'Chiemsee', claiming that there was a likelihood of confusion with its designation 'Chiemsee' with which, it claims, the public is familiar and which had in any case been in use since 1990. The defendants contended, inter alia, that since the word 'Chiemsee' was an indication which designated geograph- **6.31**

33 Ibid.

34 See Case T-379/03 *Peek & Cloppenburg v OHMI* [2005] EUECJ T-379/03.

35 For example, Art 7 of the Community Trade Mark Regulation states: '3. Paragraph 1(b), (c) and (d) shall not apply if the trade mark has become distinctive in relation to the goods or services for which registration is requested in consequence of the use which has been made of it.'

36 *Windsurfing Chiemsee* [1999] [2000] 2 WLR 205, [1999] EUECJ C-108/97, [2000] Ch 523, [1999] ECR I-2779.

ical origin it must consequently remain available and thus was not capable of protection. The applicant claimed that the word ‘Chiemsee’ had acquired the secondary meaning under Art 3 of the Trade Marks Directive of referring to products emanating from it. The ECJ listed the following factors to be considered in establishing acquired distinctiveness: the market share held by the mark; how intensive, geographically widespread and long-standing use of the mark has been; the amount invested by the undertaking in promoting the mark; the proportion of the relevant class of persons who, because of the mark, identify goods as originating from a particular undertaking; and statements from chambers of commerce and industry or other trade and professional associations.³⁷

6.32 The Court concluded that:

if, on the basis of those factors, the competent authority finds that the relevant class of persons, or at least a significant proportion thereof, identify goods as originating from a particular undertaking because of the trade mark, it must hold that the requirement for registering the mark laid down in Art 3(3) of the Directive is satisfied.³⁸

6.33 As regards the method to be used to assess the distinctive character of a mark in respect of which registration is applied for, the ECJ noted that Community law did not preclude the competent authority, where it has particular difficulty in that connection, from having recourse, under the conditions laid down by its own national law, to an opinion poll as guidance for its judgment.³⁹

i. Designation of geographical area

6.34 Joined Cases C-108/97 and C-109/97⁴⁰ also concerned an evaluation by the ECJ of what constituted a geographical area for the purposes of the Directive. The relevant national law which implemented the Directive was the German Markengesetz (Law on Trade Marks), which has been applicable since 1 January 1995. Under s8(2)(2) of the Markengesetz, trade marks ‘which consist exclusively of indications which may serve in trade to designate the geographical origin or other characteristics of the goods are to be refused registration’. Pursuant to s8(3) of the Markengesetz, s8(2)(2) does not apply ‘if the mark, before the time of the decision on registration, as a result of its use for the goods in respect of which registration has been applied for, has gained

³⁷ Ibid., at para 51.

³⁸ Ibid., at para 52.

³⁹ Ibid., at para 53, referring to Case C-210/96 *Gut Springenheide and Tusky v Oberkreisdirektor des Kreises Steinfurt-Amt für Lebensmittelüberwachung* [1998] ECR I-4657, at para 37.

⁴⁰ *Windsurfing Chiemsee (Law relating to undertakings)* [1999] [2000] 2 WLR 205, [1999] EUECJ C-108/97, [2000] Ch 523, [1999] ECR I-2779.

acceptance among the relevant class of persons'. These provisions applied Arts 3(1)(c) and 3(3) of the Trade Marks Directive concerning the registrability of geographical words.

In language which has been repeated in its subsequent decisions on geographic marks, the ECJ explained that Art 3(1)(c) of the Directive 'pursues an aim which is in the public interest, namely that descriptive signs or indications relating to the categories of goods or services in respect of which registration is applied for may be freely used by all, including as collective marks or as part of complex or graphic marks'.⁴¹ Thus Art 3(1)(c) prevents 'such signs and indications from being reserved to one undertaking alone because they have been registered as trade marks'.⁴² As regards, more particularly, signs or indications which may serve to designate the geographical origin of the categories of goods in relation to which registration of the mark is applied for, especially geographical names, the Court observed that:

[I]t is in the public interest that they remain available, not least because they may be an indication of the quality and other characteristics of the categories of goods concerned, and may also, in various ways, influence consumer tastes by, for instance, associating the goods with a place that may give rise to a favourable response.⁴³

The Court noted that the public interest underlying the provision 'is also evident in the fact that it is open to the Member States, under Article 15(2) of the Directive, to provide, by way of derogation from Article 3(1)(c), that signs or indications which may serve to designate the geographical origin of the goods may constitute collective marks'.⁴⁴

Also in language repeated in its subsequent decisions the ECJ ruled that Art 3(1)(c) is to be interpreted as meaning that:

- it does not prohibit the registration of geographical names as trade marks solely where the names designate places which are, in the mind of the relevant class of persons, currently associated with the category of goods in question; it also applies to geographical names which are liable to be used in future by the undertakings concerned as an indication of the geographical origin of that category of goods;
- where there is currently no association in the mind of the relevant class of persons between the geographical name and the category of goods in

41 [1999] EUECJ C-108/97, at para 25.

42 Ibid.

43 Ibid., at para 26.

44 Ibid., at para 27.

question, the competent authority must assess whether it is reasonable to assume that such a name is, in the mind of the relevant class of persons, capable of designating the geographical origin of that category of goods;

- in making that assessment, particular consideration should be given to the degree of familiarity amongst the relevant class of persons with the geographical name in question, with the characteristics of the place designated by that name, and with the category of goods concerned;
- it is not necessary for the goods to be manufactured in the geographical location in order for them to be associated with it.⁴⁵

(b) 'CLOPPENBURG'

6.38 Case T-379/03 *Peek & Cloppenburg v OHMI*⁴⁶ concerned an application with OHIM for a Community trade mark for the word sign 'CLOPPENBURG'⁴⁷ in relation to retail trade services that fall within Class 35 of the Nice Agreement. The application was rejected under Art 7(1)(c) of the Community Trade Mark Regulation on the ground, inter alia, that the word Cloppenburg designated a German town in Lower Saxony and that the Landkreis Cloppenburg, a territorial district to which that town had given its name, numbered more than 152,000 inhabitants in 2002. This decision was affirmed by the Fourth Board of Appeal of OHIM and the applicant appealed to the Court of First Instance.

6.39 The Court followed the public interest approach to Art 7(1)(c), which it formulated in *Windsurfing Chiemsee*,⁴⁸ concerning leaving free signs or indications which may serve to designate the geographical origin of the categories of goods in relation to which registration of the mark is applied for, especially geographical names.

[I]t is in the public interest that they remain available, not least because they may be an indication of the quality and other characteristics of the categories of goods concerned, and may also, in various ways, influence consumer tastes by, for instance, associating the goods with a place that may give rise to a favourable response.⁴⁹

6.40 It observed further that the registration of geographical names as trade marks solely where they designate specified geographical locations which are already famous, or are known for the category of goods concerned, and which are therefore associated with those goods in the mind of the relevant class of persons,

⁴⁵ Ibid., at para 37.

⁴⁶ [2005] EUECJ T-379/03.

⁴⁷ Pursuant to Council Regulation (EC) No 40/94 of 20 December 1993 on the Community trade mark, OJ 1994 L 11, p. 1.

⁴⁸ [1999] ECR I-2779, at para 26.

⁴⁹ [2005] EUECJ T-379/03, at paras 32–33.

is excluded, as is the registration of geographical names which are liable to be used by undertakings and must remain available to such undertakings as indications of the geographical origin of the category of goods concerned.⁵⁰

The Court noted that Art 7(1)(c) of the Regulation did not in principle preclude the registration of geographical names which are unknown to the relevant class of persons – or at least unknown as the designation of a geographical location – or of names in respect of which, because of the type of place they designate, such persons are unlikely to believe that the category of goods concerned originates there or was conceived of there.⁵¹ It ruled, therefore, that ‘a sign’s descriptiveness cannot be assessed other than by reference to the goods or services concerned, on the one hand, and by reference to the understanding which the relevant persons have of it, on the other’.⁵² **6.41**

The Court said that in making that assessment the Office was bound to establish that the geographical name was known to the relevant class of persons as the designation of a place.⁵³ **6.42**

What is more, the name in question must suggest a current association, in the mind of the relevant class of persons, with the category of goods or services in question, or else it must be reasonable to assume that such a name may, in the view of those persons, designate the geographical origin of that category of goods or services. In making that assessment, particular consideration should be given to the relevant class of persons degree of familiarity with the geographical name in question, with the characteristics of the place designated by that name, and with the category of goods or services concerned.⁵⁴

In this case, the Court’s examination must be confined to the question whether, for the relevant public in Germany, the sign for which registration is sought consists exclusively of an indication that may serve, in trade, to designate the geographical origin of the services designated, the Court defining the relevant public as average German consumers of retail trade services, who would not necessarily consider that ‘CLOPPENBURG’ was a specific geographical location.⁵⁵ It doubted evidence that a town the size of Cloppenburg was mentioned in weather reports, or that it appeared on other than local road signs and that there was any economic activity for which the town would be familiar to consumers throughout Germany.⁵⁶ On this issue the Court did not consider that **6.43**

50 Ibid., at para 34.

51 Ibid., at para 36.

52 Applying Case T-295/01 *Nordmilch v OHIM (OLDENBURGER)* [2003] ECR II-4365, at paras 27–34.

53 Ibid., at para 38.

54 Ibid.

55 Ibid., at para 42.

56 Ibid., at paras 44–45.

the required legal standard had been met that there existed, in the eyes of the public concerned, any link between the town or region of Cloppenburg and the category of services concerned, or that the word 'CLOPPENBURG' might reasonably be supposed, in the eyes of that public, to designate the geographical origin of the category of services at issue.⁵⁷

6.44 Finally, the Court observed that even if the relevant public did know of the town of Cloppenburg, it did not automatically follow that the sign may serve, in trade, to designate geographical origin as account had to be taken of all the relevant circumstances, such as the nature of the goods or services designated, the greater or lesser reputation, especially within the economic sector involved, of the geographical location in question and the relevant public's greater or lesser familiarity with it, the customs obtaining in the area of activity concerned and the question to what extent the geographical origin of the goods or services at issue may be relevant, in the view of the persons concerned, to the assessment of the quality or other characteristics of the goods or services concerned.⁵⁸

6.45 Applying these principles, the Court observed that the relevant public was, at the very most, only moderately familiar with the town of Cloppenburg and that the Board of Appeal had not mentioned any class of goods or services for which that town enjoyed a reputation as the place where the goods are produced or the services rendered.⁵⁹ Moreover, the Board of Appeal has not established that it is current practice in trade to indicate the geographical origin of retail trade services and that it was not reasonable to imagine that the indication at issue might in the future designate the geographical origin of those services.⁶⁰

(c) 'OLDENBURGER'

6.46 Case T-295/01⁶¹ concerned an application for a community trade mark for the word 'OLDENBURGER' in relation to milk and dairy products within Classes 29, 30 and 32 of the Nice Agreement. The examiner at OHIM rejected the application on the ground that the word claimed was capable of constituting an indication of geographical origin that referred to a German region known for producing the goods identified in the application, and that

⁵⁷ Ibid., at para 47.

⁵⁸ Ibid., at paras 48–49.

⁵⁹ Ibid., at para 50.

⁶⁰ Ibid., at para 51.

⁶¹ *Nordmilch eG v Office for Harmonisation in the Internal Market (Trade Marks and Designs) (OHIM)* (Community trade mark) [2003] EUECJ T-295/01 (15 October 2003).

there was a public interest in its remaining freely available. This rejection was supported by the Board of Appeal of OHIM.

On appeal to the Court of First Instance, the applicant did not dispute that the term 'OLDENBURG' designates the principal town of the region of Weser-Ems in the Land of Niedersachsen (Lower Saxony) and a town of the same name in the Land of Schleswig-Holstein in Germany, nor did it deny that goods of the kind covered by the application for registration were manufactured in the district of Weser-Ems. However, the applicant denied that the mark sought, 'OLDENBURGER', was composed exclusively of an indication which, taken alone, designates or could designate the geographical origin of the goods to which it is affixed and that the Board of Appeal extended the absolute ground for refusal relating to terms that are exclusively descriptive of origin to cover an indication which merely refers to a GI or is derived from one. **6.47**

Applying *Windsurfing Chiemsee*,⁶² the Court explained that as regards signs or indications which may serve to designate the geographical origin of the categories of goods in relation to which registration of the mark is applied for, especially geographical names, it was in the public interest that they remain available, not least because they may be an indication of the quality and other characteristics of the categories of goods concerned, and may also, in various ways, influence consumer tastes by, for instance, associating the goods with a place that may give rise to a favourable response.⁶³ Furthermore, the registration of geographical names as trade marks solely where they designate specified geographical locations which are already famous, or are known for the category of goods concerned, and which are therefore associated with those goods in the mind of the relevant class of persons, was excluded, as well as the registration of geographical names which are liable to be used by undertakings and must remain available to such undertakings as indications of the geographical origin of the category of goods concerned.⁶⁴ **6.48**

The Court observed, however, that Art 7(1)(c) of the Regulation did not, in principle, preclude the registration of geographical names which were unknown to the relevant class of persons – or at least unknown as the designation of a geographical location – or of names in respect of which, because of the type of place they designate, such persons are unlikely to believe that the **6.49**

⁶² [1999] ECR I-2779, at para 26.

⁶³ [2003] EUECJ T-295/01, at para 31.

⁶⁴ Ibid.

category of goods concerned originates there.⁶⁵ Thus, the Court ruled, a sign's descriptiveness could not be assessed other than by reference to the goods or services concerned, on the one hand, and by reference to the understanding which the relevant persons have of it, on the other.⁶⁶

- 6.50** In the present case the Court noted the agricultural reputation of Oldenburg included dairy, livestock and meat-processing industries, thus the relevant public may have perceived the geographical name as an indication of the geographical origin of those goods.⁶⁷ The Court approved the approach of the Board of Appeal, which was careful to avoid confirming that the contested mark designated the geographical origin of the goods claimed, but that the relevant public perceived the sign in question as an indication of the origin of those goods.⁶⁸ It therefore found that the sign in question consisted exclusively of a word 'which indicates or is capable of indicating to the relevant persons the geographical origin of the designated goods'.⁶⁹

(d) 'SALAME FELINO'

- 6.51** Case C-46/07⁷⁰ concerned the interpretation of Art 2 of Directive 2000/13/EC of the European Parliament and of the Council of 20 March 2000 on the approximation of the laws of the Member States relating to the labelling, presentation and advertising of foodstuffs,⁷¹ of Arts 3(1) and 13(3) of Council Regulation (EEC) No 2081/92 of 14 July 1992 on the protection of geographical indications and designations of origin for agricultural products and foodstuffs and of Art 15(2) of the Trade Marks Directive.⁷² On 12 December 2002 the Milan municipal police informed Mr Severi, in his own name and as the legal representative of Grandi Salumifici Italiani SpA ('GSI') that GSI was charged with infringing Art 2 of Legislative Decree No 109/92 relating to labelling, presentation and advertising of foodstuffs,⁷³ by having marketed a sausage, produced in Modena, the labelling of which bore the expression

65 Ibid., at para 34.

66 Ibid.

67 Ibid., at para 38.

68 Ibid., at para 43.

69 Ibid., at para 45.

70 *Alberto Severi v Regione Emilia Romagna* [2009] EUECJ C-446/07.

71 OJ 2000 L 109, p. 29.

72 First Council Directive 89/104/EEC of 21 December 1988 to approximate the laws of the Member States relating to trade marks (OJ 1989 L 40, p. 1).

73 Legislative Decree No 109/92 transposed the provisions of Art 2(1)(a)(i) of Council Directive 79/112/EEC of 18 December 1978 on the approximation of the laws of the Member States relating to the labelling, presentation and advertising of foodstuffs for sale to the ultimate consumer 'and provided:

1. The labelling and the methods used are intended to provide the consumer with clear and accurate information. They must be such as:

‘Salame tipo Felino’. That name was said to refer to a traditional method of production and to a place of production – the territory of the commune of Felino, in Emilia Romagna, in the province of Parma – which did not correspond to the defendant’s foodstuffs which were produced in the province of Modena.

An administrative penalty of EUR 3108.33 was imposed upon the defendant **6.52** for infringement of Art 2 of Legislative Decree No 109/92. Mr Severi challenged the penalty of 16 May 2006 before the Tribunale civile di Modena (Civil Court, Modena) on the basis that until ‘Salame Felino’ was registered as a PDO, it remained generic and available for use in the European market by producers who have used it in good faith and uninterruptedly for a considerable period before the entry into force of Regulation No 2081/92 (now Regulation No 510/2006) and in the period following the entry into force of that regulation. This was put as a question by the Modena Court to the ECJ. The ECJ rejected a presumption of genericity arising from the fact that a PDO had not yet been registered.⁷⁴

The defendant also argued that the qualification ‘tipo’ (type) prevented the deception of consumers. The ECJ ruled that the question of whether consumers were misled was a matter for national courts, but that it was clear from the Court’s case law that, in order to assess the capacity to mislead of a description to be found on a label, the national court must in essence take account of the presumed expectations, in light of that description, of an average consumer who is reasonably well informed, and reasonably observant and circumspect, as to the origin, provenance and quality associated with the foodstuff, the critical point being that the consumer must not be misled and must not be induced to believe, incorrectly, that the product has an origin, provenance or quality which are other than genuine.⁷⁵ For the purpose of assessing whether labelling might be misleading, the ECJ ruled that national courts may have regard to the length of time during which the name has been used and that any good faith on the part of the manufacturer or retailer is irrelevant in that regard.⁷⁶ **6.53**

-
- (a) not to mislead the purchaser as to the characteristics of the foodstuff and, in particular, as to its nature, identity, properties, composition, quantity, durability, origin or provenance, method of manufacture or production of the foodstuff in question.’

⁷⁴ [2009] EUECJ C-446/07, at para 49.

⁷⁵ Ibid., at para 61 applying: Case C470/93 *Verein gegen Unwesen in Handel und Gewerbe Köln e.V. v Mars GmbH* [1995] ECR I1923, at para 24; *Gut Springenheide and Tusky v Oberkreisdirektor des Kreises Steinfurt-Amt für Lebensmittelüberwachung* [1998] ECR I4657, at para 31; and Case C220/98 *Estée Lauder Cosmetics GmbH & Co OHG v Lancaster Group GmbH* [2000] ECR I117, at para 30.

⁷⁶ Ibid., at para 63.

5. Absolute Bars to Registration of Geographical Marks

6.54 Both the Community Trade Marks Regulation and the Trade Marks Directive list the grounds for refusal of registration or invalidity of signs which cannot constitute a trade mark. For example, the Community Trade Marks Regulation in Art 7(1) lists as absolutely barred from registration:

- ...
- (b) trade marks which are devoid of any distinctive character;
- (c) trade marks which consist exclusively of signs or indications which may serve, in trade, to designate the kind, quality, quantity, intended purpose, value, geographical origin, or the time of production of the goods or of rendering of the service, or other characteristics of the goods or service;
- (d) trade marks which consist exclusively of signs or indications which have become customary in the current language or in the *bona fide* and established practices of the trade;
- ...
- (g) trade marks which are of such a nature as to deceive the public, for instance as to the nature, quality or geographical origin of the goods or service;⁷⁷
- ...

6. Absolute Bars Aligned with Geographical Indications Protection

6.55 The Community Trade Marks Regulation in Art 7(1) refuses registration to:

- (j) trade marks for wines which contain or consist of a geographical indication identifying wines or for spirits which contain or consist of a geographical indication identifying spirits with respect to such wines or spirits not having that origin;
- (k) trade marks which contain or consist of a designation of origin or a geographical indication registered in accordance with Council Regulation (EC) No 510/2006 of 20 March 2006 on the protection of geographical indications and designations of origin for agricultural products and foodstuffs;
- (l) when they correspond to one of the situations covered by Article 13 of the said Regulation and regarding the same type of product, on condition that the application for registration of the trade mark has been submitted after the date of filing with the Commission of the application for registration of the designation of origin or geographical indication.

⁷⁷ Art 7(1), Community Trade Mark Regulation, Art 3, Trade Marks Directive.

Concerned that these provisions do not offer the same degree of protection to GIs as provided in the European GIs legislation,⁷⁸ the proposed amending regulation⁷⁹ replaces these provisions with the following: **6.56**

- (j) trade marks which are excluded from registration and shall not continue to be used pursuant to Union legislation or international agreements to which the Union is party, providing for protection of designations of origin and geographical indications;
- (k) trade marks which are excluded from registration pursuant to Union legislation or international agreements to which the Union is party, providing for protection of traditional terms for wine and traditional specialities guaranteed;
- (l) trade marks which contain or consist of an earlier variety denomination registered in accordance with Council Regulation (EC) No 2100/94 of 27 July 1994 on Community plant variety rights with respect to the same type of product.

7. Absolute Bar to Partially Non-registrable Signs

Article 7(2) provides that the absolute bars in Art 7(1) shall apply notwithstanding that the grounds of non-registrability obtain in only part of the Community. The proposed amending regulation⁸⁰ proposes the replacement of Art 7(2) with the following: **6.57**

- 2. Paragraph 1 shall apply notwithstanding that the grounds of non-registrability obtain:
 - (a) in only part of the Union;
 - (b) only where a trade mark in a foreign language or script is translated or transcribed in any script or official language of a Member State.

Subparagraph (b) is explained by Recital (13) to the proposed amending regulation that trade marks ‘applied for in a script or language not intelligible in the Union should not deserve protection if their registration would have to be refused on absolute grounds when translated or transcribed in any official language of the Member States’. **6.58**

⁷⁸ Specifically: Arts 13 and 14 of Regulation (EU) No 1151/2012 of 21 November 2012 on quality schemes for agricultural products and foodstuffs, OJ L 343, 14.12.2012, p. 1; Arts 118l and 118m of Regulation (EC) No 1234/2007 of 22 October 2007 establishing a common organisation of agricultural markets and on specific provisions for certain agricultural products, as amended by Regulation (EC) No 491/2009 of 25 May 2009, OJ L 154, 17.6.2009, p. 1; and Art 16 of Regulation (EC) No 110/2008 of 15 January 2008 on the protection of GIs of spirit drinks, OJ L 39, 13.2.2008, p. 16.

⁷⁹ Proposal for a Regulation of the European Parliament and of the Council amending Council Regulation (EC) No 207/2009 on the Community trade mark, COM(2013) 161 final, 2 April 2013.

⁸⁰ Proposal for a Regulation of the European Parliament and of the Council amending Council Regulation (EC) No 207/2009 on the Community trade mark, COM(2013) 161 final, 2 April 2013.

8. Limitation of the Effects of a Registered Geographical Trade Mark

(a) Defence to infringement

6.59 Most trade mark laws allow a defendant in an infringement action to rely on the geographical implications of an allegedly infringing mark to be called in aid in an infringement action brought in relation to a registered trade mark. Thus Art 12(b) of the Community Trade Marks Regulation and Art 6(1)(b) of the Trade Marks Directive prevent a proprietor, inter alia, from prohibiting a third party from using in the course of trade indications concerning the geographical origin of the goods or service, in respect of which the mark has been registered provided that they are used in accordance with 'honest practices in industrial or commercial matters'. In the UK that defence is contained in s11(2)(b) of the UK Trade Marks Act 1994.

(b) Use of an indication concerning geographical origin

6.60 A recent illustration of the operation of this defence in a UK case is *Samuel Smith Old Brewery (Tadcaster) v Lee (t/a Cropton Brewery)*,⁸¹ which concerned a complaint by a Yorkshire brewery about the use by another Yorkshire brewery of its stylised white rose device, which was part of its registered trade marks. The white rose is the traditional symbol of the county of Yorkshire, having been the emblem of the House of York during the Wars of the Roses, fought between 1455 and 1485. Arnold J ruled that the emblem was intended to be, and would be, perceived by the average consumer as an indication that the two beers are brewed in (or otherwise associated with) Yorkshire.⁸² As is usual in cases involving geographical marks, passing off was also pleaded in this action.

(c) Use in accordance with honest practices in industrial or commercial matters

6.61 The principles applying to this defence from the ECJ case law were usefully summarised by Arnold J in *Samuel Smith Old Brewery (Tadcaster) v Lee (t/a Cropton Brewery)*⁸³ as follows:

[114] First, the requirement to act in accordance with honest practices in industrial or commercial matters 'constitutes in substance the expression of a duty to act fairly in relation to the legitimate interests of the trade mark proprietor': see *Bayerische Motorenwerke AG v Deenik* (C-63/97) [1999] E.C.R. I-905; [1998] E.T.M.R. 348 at [61], *Gerolsteiner Brunnen GmbH & Co v Putsch GmbH* (C-100/02) [2004] E.C.R. I-691; [2004] E.T.M.R. 40; [2004] R.P.C. 39 at [24], *Anheuser-Busch Inc v Budjovický*

⁸¹ [2011] EWHC 1879 (Ch).

⁸² *Ibid.*, at para 111.

⁸³ [2011] EWHC 1879 (Ch).

Budvar, Národní Podnik (C-245/02) [2004] E.C.R. I-10989; [2005] E.T.M.R. 27 at [82], *Gillette Co v LA-Laboratories Ltd Oy* (C-228/03) [2005] E.C.R. I-2337; [2005] E.T.M.R. 67; [2005] F.S.R. 37 at [41] and *Céline Sarl v Céline SA* (C-17/06) [2007] E.C.R. I-7041; [2007] E.T.M.R. 80 at [33].

[115] Secondly, the court should ‘carry out an overall assessment of all the relevant circumstances’, and in particular should assess whether the defendant ‘can be regarded as unfairly competing with the proprietor of the trade mark’: see *Gerolsteiner* [2004] E.T.M.R. 40 at [26], *Anheuser-Busch* [2005] E.T.M.R. 27 at [84] and *Céline* [2007] E.T.M.R. 80 at [35].

[116] Thirdly, an important factor is whether the use of the sign complained of either gives rise to consumer deception or takes unfair advantage of, or is detrimental to, the distinctive character or repute of the trade mark. If it does, it is unlikely to qualify as being in accordance with honest practices: see *Gillette* [2005] F.S.R. 37 at [49], *Anheuser-Busch* [2005] E.T.M.R. 27 at [83] and *Céline* [2007] E.T.M.R. 80 at [34].

[117] Fourthly, a mere likelihood of confusion will not disqualify the use from being in accordance with honest practices if there is a good reason why such a likelihood of confusion should be tolerated. Thus in *Gerolsteiner* [2004] E.T.M.R. 40, which was an art. 6(1)(b) case, the Court of Justice held at [25]:

The mere fact that there exists a likelihood of aural confusion between a word mark registered in one Member State and an indication of geographical origin from another Member State is therefore insufficient to conclude that the use of that indication in the course of trade is not in accordance with honest practices. In a Community of 15 Member States, with great linguistic diversity, the chance that there exists some phonetic similarity between a trade mark registered in one Member State and an indication of geographical origin from another Member State is already substantial and will be even greater after the impending enlargement.

In *Samuel Smith Old Brewery (Tadcaster) v Lee (t/a Cropton Brewery)*⁸⁴ Arnold **6.62** J ruled that the defendant’s use of the white rose emblem met the defence until he was informed by the plaintiff of the conflict between their two marks.

The principles enumerated by Arnold J were approved by Asplin J in *Evegate Publishing Ltd v Newsquest Media (Southern) Ltd*.⁸⁵ That case concerned **6.63** a dispute arising out of the launch by the defendant of a farming newspaper called *The Southern Farmer*, which the plaintiff claimed infringed its registered trade mark ‘SOUTH EAST FARMER’, which was registered in Class 16 in respect of ‘periodicals, magazines and newspapers’. The judge did not in fact have to apply the defence as the case turned on whether the registered mark was sufficiently distinctive to be valid.

⁸⁴ Ibid.

⁸⁵ [2013] EWHC 1975 (Ch).

- 6.64** A useful analysis of the defence under the Trade Marks Directive was the ECJ's decision in Case C-100/02 *Gerolsteiner Brunnen GmbH & Co v Putsch GmbH*.⁸⁶ This case concerned the marketing of bottled mineral water and soft drinks with a mineral water base, which were marketed by Gerolsteiner Brunnen in Germany. It was also the proprietor of trade marks in Germany including the word mark 'GERRI' covering those products. Since the mid-1990s Putsch had marketed soft drinks in Germany bearing labels including the words 'KERRY SPRING'. Those drinks were manufactured and bottled in Ballyferriter in County Kerry, Ireland, by the Irish company Kerry Spring Water using water from a spring called Kerry Spring. Gerolsteiner Brunnen commenced proceedings against Putsch in the German courts for infringement of its trade mark rights. At first instance, the Landgericht München (Munich Regional Court) found for Gerolsteiner Brunnen and restrained Putsch from using the distinctive sign 'KERRY SPRING' for mineral water or soft drinks. On appeal by Putsch the Oberlandesgericht München (Munich Higher Regional Court) dismissed Gerolsteiner Brunnen's claims and in relation to questions put to the ECJ, the issues of geographical marks and whether use had been in accordance with honest practices in industrial or commercial matters was addressed.
- 6.65** The referring court had found that there existed a likelihood of aural confusion for the purposes of Art 5(1)(b) of the Trade Marks Directive between GERRI and KERRY. The Commission emphasised the geographical nature of the expression 'KERRY SPRING' by noting that Kerry Spring was included in the list of mineral waters recognised by Ireland for the purposes of Council Directive 80/777/EEC of 15 July 1980 on the approximation of the laws of the Member States relating to the exploitation and marketing of natural mineral waters.⁸⁷ The question which the ECJ addressed was whether such a likelihood of confusion between a word mark and an indication of geographical origin entitled the proprietor of the trade mark to rely upon Art 5(1)(b) of the Trade Marks Directive to prevent a third party from using the indication of geographical origin. In answering that question, the Court noted that the only test mentioned in Art 6(1) of the Trade Marks Directive was whether the indication of geographical origin is used in accordance with honest practices in industrial or commercial matters. The Court held that the 'condition of honest practice constitutes in substance the expression of a duty to act fairly in relation to the legitimate interests of the trade mark owner'.⁸⁸ The mere fact that there existed a likelihood of aural confusion between a word mark registered in one

⁸⁶ [2004] ECR I-691; [2004] ETMR 40; [2004] RPC 39.

⁸⁷ OJ 1980 L 229, 15.7.1980, p. 1.

⁸⁸ [2004] ECR I-691, at para 24.

Member State and an indication of geographical origin from another Member State was held to be ‘insufficient to conclude that the use of that indication in the course of trade is not in accordance with honest practices’.⁸⁹

The *Gerolsteiner* case was applied and amplified by the ECJ in Case C-245/02 *Anheuser-Busch Inc v Budějovický Budvar*.⁹⁰ It held that: **6.66**

In assessing whether the condition of honest practice is satisfied, account must be taken first of the extent to which the use of the third party’s trade name is understood by the relevant public, or at least a significant section of that public, as indicating a link between the third party’s goods and the trade-mark proprietor or a person authorised to use the trade mark, and secondly of the extent to which the third party ought to have been aware of that. Another factor to be taken into account when making the assessment is whether the trade mark concerned enjoys a certain reputation in the Member State in which it is registered and its protection is sought, from which the third party might profit in selling his goods.⁹¹

In the case, which involved a complaint about the use of the plaintiff’s trade mark on the defendant’s beer bottles, the ECJ observed that it is for the national court to carry out an overall assessment of all the relevant circumstances, ‘which include the labelling of the bottle in order to assess, more specifically, whether the producer of the drink bearing the trade name can be regarded as unfairly competing with the proprietor of the trade mark’.⁹² **6.67**

The proposed regulation to amend the Community Trade Marks Regulation proposes the addition to Art 12 a definition of ‘in accordance with honest practices’ in the following terms: **6.68**

2. The use by a third party shall be considered not to be in accordance with honest practices, in particular in any of the following cases:
 - (a) it gives the impression that there is a commercial connection between the third party and the proprietor of the trade mark;
 - (b) it takes unfair advantage of, or is detrimental to, the distinctive character or the repute of the trade mark without due cause.

(d) Generic marks

The Community Trade Mark Regulation and the Trade Marks Directive exclude the registration of trade marks which consist exclusively of signs or indications which have become customary in the current language or in the **6.69**

⁸⁹ Ibid., at para 25.

⁹⁰ [2005] ETMR 286.

⁹¹ Ibid., at para 83.

⁹² Ibid., at para 85.

bona fide and established practices of the trade. Where a sign designating a geographical place is a GI or a generic term (eg Frankfurt sausages) registration will be refused in both instances. Whether or not a given term is considered generic is a matter of consumer perception and the applicable legal framework.

- 6.70** In the European context it will be recalled that Council Regulation (EC) No 510/2006 of 20 March 2006 on the protection of geographical indications and designations of origin for agricultural products and foodstuffs in Art 3(1) provides that names that have become generic may not be registered and that for the purposes of the Regulation, 'a name that has become generic' means the name of an agricultural product or a foodstuff which, although it relates to the place or the region where this product or foodstuff was originally produced or marketed, has become the common name of an agricultural product or a foodstuff in the Community. Article 3(1) requires that in establishing whether or not a name has become generic, 'account shall be taken of all factors, in particular: (a) the existing situation in the Member States and in areas of consumption; (b) the relevant national or Community laws'.
- 6.71** A national example of legislation on genericity is s126(2) of the German Trademark Law, which provides that 'names, indications or signs of a generic nature shall not be eligible for protection as indications of geographical origin'. This provision defines as designations of a generic nature those 'which – although containing an indication of geographical origin within the meaning of subsection (1) or being derived therefrom – have lost their original meaning and serve as names of goods or services or as designations for or indications of the kind, nature, type or other properties or characteristics of goods or services'.
- 6.72** In the USA and Canada determinations of genericity in relation to wines are delegated to government agencies.⁹³
- 6.73** As regards multilateral agreements, the Lisbon Agreement and the TRIPS Agreement contain references to generic terms. Article 6 of the Lisbon Agreement provides that an appellation cannot be deemed to have become generic, as long as it is protected as an appellation of origin in the country of origin.

93 See WIPO Secretariat, Addendum to Document SCT/6/3 Rev. (Geographical Indications: Historical Background, Nature of Rights, Existing Systems for Protection and Obtaining Protection in other Countries), Standing Committee on The Law of Trademarks, Industrial Designs and Geographical Indications, Eighth Session, Geneva, 27–31 May 2002, WIPO Doc SCT/8/5 April 2, 2002, paras 37–38.

(e) Deceptive marks

The Community Trade Mark Regulation and the Trade Marks Directive both provide an absolute bar to trade marks which are of such a nature as to deceive the public as to the geographical origin of goods or service. The OHIM Trade Marks Manual points out that this ground for refusal also applies where the mark contains elements other than the geographical term.⁹⁴ **6.74**

The UK Trade Marks Examination Manual, referring to s3(3)(b) of the Trade Marks Act 1994, which enacts this aspect of the Trade Marks Directive, explains that objections should only be taken at the first examination stage to place names or figurative marks indicating geographical origin where the place has a reputation for the goods or services and gives the examples of: **6.75**

- PIAZZA D' ITALIA for 'clothing', because the public would be deceived if the goods or the cloth were not made in Italy, which has a strong reputation for quality cloth and clothing;
- SOMERSET GOLD for 'cider', because Somerset is well known for its cider;
- SWISSTEX for 'watches', because Switzerland is famous for high-quality watches.

The UK Trade Marks Examination Manual provides that s3(3)(b) may be overcome by restricting the specification to goods *manufactured in* the appropriate place for manufactured goods or *produced in* for other goods, for example: **6.76**

SWISSTEX: 'Watches and horological instruments; all manufactured in Switzerland';
 LOCH DOUGLAS: 'Salmon and salmon products; all the produce of Scotland'.

9. Trade Marks and Protected Geographic Indications (PGIs) or Protected Denominations of Origin (PDOs)

(a) Signs which consist of or contain a PGI/PDO for wines

It will be recalled that Art 7(1)(j) of the Community Trade Mark Regulation No 40/94 provides that trade marks for wines which contain or consist of a GI identifying wines with respect to such wines not having that origin are not to be registered. **6.77**

⁹⁴ OHIM Trade Marks Manual at 41.

- 6.78** The OHIM Trade Marks Manual states that an application may only be registered for the goods protected by a PGI/PDO if it is limited to such goods originating from the relevant PGI/PDO and says that the following wording should be used for the limitation: '[name of product] in conformity with the specifications of the [name PDO/PGI]'.⁹⁵
- 6.79** For 'comparable goods' the OHIM Trade Marks Manual observes that 'such a limitation is inoperable given that the PGI/PDO specifications only relate to the goods for which the PGI/PDO protection exists'.⁹⁶
- 6.80** EU case law requires that the provisions of the Community Trade Mark Regulation which deal with the protection of PGIs and PDOs must be interpreted as far as possible in conformity with the specific EU legislation on those subjects and international agreements concluded by the EU, such as the TRIPS Agreement, as well as with the national laws of Member States.

(b) Case law

i. 'CUVÉE PALOMAR'

- 6.81** Case T-237/08 *Abadía Retuerta, SA v OHIM*⁹⁷ concerned an application for a Community trade mark for the sign 'CUVÉE PALOMAR' in Class 33 under the Nice Agreement for wines. The examiner, taking the view that the mark applied for was inadmissible on the basis of the absolute ground for refusal referred to in Art 7(1)(j) of Regulation No 40/94, refused the application for registration by decision of 5 June 2007. The applicant appealed against the examiner's decision and this appeal was dismissed by the First Board of Appeal largely on the ground that 'el Palomar' is the name of a local administrative area in the sub-region Clariano and constitutes, pursuant to the applicable Community and national law, an area of production protected by the registered designation of origin 'VALENCIA'.
- 6.82** The applicant appealed to the General Court (Third Chamber), which stated that in order to apply Art 7(1)(j) of Regulation No 40/94 it is necessary to determine the scope of the concept of 'geographical indication identifying wines'.⁹⁸ In the absence of a definition of the concept of GI identifying wines, the Court referred to the fourth Recital in the preamble to Regulation No 3288/94, which inserted Art 7(1)(j) into Regulation No 40/94. This states that

⁹⁵ Ibid., at 44.

⁹⁶ Ibid.

⁹⁷ Judgment, 11 May 2010.

⁹⁸ Ibid., at para 60.

‘Article 23(2) of the TRIPS Agreement provides for the refusal or invalidation of trade marks which contain or consist of false geographical indications for wines and spirits without the condition that they are of such a nature as to deceive the public’ and that ‘a new subparagraph (j) has to be added to Article 7(1) of Regulation (EC) No 40/94’.⁹⁹ The Court recalled that since the Community is a party to the TRIPS Agreement, it is required to interpret its trade mark legislation, as far as possible, in the light of the wording and purpose of that Agreement.¹⁰⁰ Furthermore, the Court noted that the concept of a GI identifying wines, within the meaning of Art 7(1)(j) of Regulation No 40/94, must be read in the light of the relevant provisions of Community law on determining and protecting GIs relating to wines, referring to Regulation No 1493/1999, which is also intended to ensure that Community law is consistent with the provisions of the TRIPS Agreement.¹⁰¹ Article 47(1) of Regulation No 1493/1999 provides that the rules relating to the description, designation and presentation of certain products covered by the Regulation are set out in this Chapter and in Annexes VII and VIII. Point A of Annex VI deals with the definition of ‘Specified region’, which includes ‘the name of a local administrative area, a part thereof or a small locality to designate a quality wine’.¹⁰² Article 4(1) of the Regulation dealing with the PDO ‘VALENCIA’ provided that the area of production protected by the PDO consisted of, inter alia, the sub-region Clariano, which includes, inter alia, a local administrative area with the name el Palomar. Thus the Court ruled that the name el Palomar is a GI for a quality wine and therefore constitutes a GI identifying wines within the meaning of Art 7(1)(j) of Regulation No 40/94.¹⁰³ The Court also referred to references to the name ‘Palomar’ in the Annex to the Agreement between the European Community and the Republic of South Africa on trade in wine¹⁰⁴ and the Agreement between the European Community and the Swiss Confederation on trade in agricultural products.¹⁰⁵

As it was not in dispute that the applicant’s wine did not come from the local administrative area el Palomar, the Court ruled that the mark applied for consisted of a geographical indication which identifies a quality wine psr even though the wine in respect of which the mark is sought does not have that origin and therefore the Board of Appeal was correct in finding that the mark

6.83

99 Ibid., at para 61.

100 Citing Case C245/02 *Anheuser-Busch Inc. v Budějovický Budvar* [2004] ECR I10989, at para 42.

101 Judgment, 11 May 2010, at paras 73–74.

102 Ibid., at para 75.

103 Ibid., at para 88.

104 Ibid., at para 104.

105 Ibid., at para 106.

applied for 'was inadmissible on the basis of the absolute ground for refusal laid down in Article 7(1)(j) of Regulation No 40/94'.¹⁰⁶

(c) Signs which are evocative of a PGI/PDO

- 6.84** The OHIM Trade Marks Manual provides that a Community trade mark application which contains or consists of a term or a sign which is 'evocative' of the PGI/PDO should also be refused, which covers the situation where the term used to designate the product incorporates part of a protected designation, so that when the consumer is confronted with the name of the product, the image triggered in his mind is that of the product whose designation is protected.¹⁰⁷ It provides the example of 'PRO SECKO' for *wine* as evocative of the Italian PDO 'PROSECCO',¹⁰⁸ stating that:

the question is whether the elements (visual, phonetic and conceptual) that the trade mark and the PGI/PDO have in common, and the proximity between the products, are such as to trigger associations ('the image') of the product bearing the protected name in the mind of the relevant public when encountering the trade mark applied for.¹⁰⁹

- 6.85** The OHIM Trade Marks Manual points out that an objection based on Art 7(1)(j) of the Community Trade Mark Regulation also arises in the case of applications which contain or evoke a constituent part of a PGI/PDO. It provides the example of the PGI 'COTEAUX DU PONT DU GARD' which would be evoked by a Community trade mark application which contains or evokes 'PONT DU GARD'.¹¹⁰
- 6.86** However, the OHIM Trade Marks Manual warns that it is important to distinguish between parts of a PGI/PDO with geographical significance and other parts with only a generic or non-geographical significance (such as 'vin' or 'vallé'). Whether a term is generic or non-geographical needs to be determined on the basis of the understanding in the Member State in which the GI has its origin. Thus in the case of Italian PGIs/PDOs the Italian-speaker's view is the relevant one, suggesting that in the case of 'ASTI SPUMANTE', only 'Asti' is geographically significant since 'spumante' is a generic term meaning 'sparkling'.

¹⁰⁶ Ibid., at paras 111–112.

¹⁰⁷ Ibid., citing judgment of 04/03/1999, C-87/97, 'CAMBOZOLA', [1999] ECR I-1301, at para 25; and judgment of 26/02/2008, C-132/05, 'PARMESAN'.

¹⁰⁸ OHIM Trade Marks Manual at 44.

¹⁰⁹ Ibid.

¹¹⁰ Ibid.

(d) Identical and comparable products

This absolute ground for refusal applies not only where the Community trade mark application and the PGI/PDO cover identical goods, but also where the application covers ‘comparable products’ to those protected under the PGI/PDO. The ECJ provided some guidance on comparable products in Joined Cases C4/10 and C27/10 *Bureau national interprofessionnel du Cognac v Gust. Ranin Oy*¹¹¹ when it observed that:

it seems reasonable to hold that that situation may concern products comparable to the spirit drink registered under that geographical indication: regardless of their various categories, ‘spirit drinks’ covers drinks which have common objective characteristics and which are consumed, from the point of view of the relevant public, on occasions which are largely identical. Furthermore, they are frequently distributed through the same channels and subject to similar marketing rules.

On this basis OHIM suggests that ‘*spirits* and *spirit-based mixtures (alcoholic drinks)*, are “comparable” pursuant to the “COGNAC criteria”. On the other hand, *spirits* and *fruit juices* (eg CALVADOS, an apple-based brandy, and apple juice) cannot be considered comparable.”¹¹² In the case of wines, OHIM observes that protection for comparable goods is limited to those set out in Annex XIb of Regulation EC 1234/2007.¹¹³ This annex lists the categories of ‘grapevine products’, including various types of wines, liqueur wines, sparkling wines and wine-based products, such as must and vinegar. Thus a Community trade mark application that conflicts with a PGI/PDO for wines must also be refused for *must* (Class 32) or *vinegar* (Class 30).

(e) Translations

In Joined Cases C4/10 and C27/10 *Bureau national interprofessionnel du Cognac v Gust. Ranin Oy*¹¹⁴ it will be recalled that an application was made to register in Finland a Community trade mark containing the Finnish translation ‘KONJAKKIA’ for ‘cognac’. The ECJ held that the use of a mark containing a GI, or a term corresponding to that indication and its translation, with respect to spirit drinks which do not meet the relevant specifications constitutes, for the purposes of Art 16(a) of Regulation No 110/2008, a direct commercial use of a GI in respect of products which are comparable to the

111 [2011] ETMR 53.

112 OHIM Trade Marks Manual at 44.

113 Ibid.

114 [2011] ETMR 53.

spirit drink registered under that indication, but which are not covered by the registration.¹¹⁵

B. COLLECTIVE AND CERTIFICATION MARKS

1. Introduction

6.90 Signs or indications which may serve, in trade, to designate the geographical origin of the goods or services under the trade mark laws of a number of European Member States may be registered as collective or certification marks. The Community Trade Mark Regulation provides for the registration of Community collective marks in Title VIII (Arts 66–74), but currently contains no provisions for the registration of certification marks. Regulation (EU) 2017/1001 of the European Parliament and of the Council of 14 June 2017 on the European Union trade mark (codification) contained specific provisions on European Union collective marks and certification marks.¹¹⁶ This Regulation was implemented by Commission Implementing Regulation (EU) 2018/626 of 5 March 2018.¹¹⁷ These are discussed below.

6.91 The Trade Marks Directive in Art 15(2) permits Member States by way of derogation from Art 3(1)(c) to provide that signs or indications which may serve, in trade, to designate the geographical origin of the goods or services may constitute collective, guarantee or certification marks. However, it also provides that such a mark does not entitle the proprietor to prohibit a third party from using in the course of trade such signs or indications, provided he uses them in accordance with honest practices in industrial or commercial matters; in particular, such a mark may not be invoked against a third party who is entitled to use a geographical name.

2. Community Collective Marks

6.92 Title VIII of the Community Trade Mark Regulation provides for the registration of collective marks. However, very few of these marks have been registered. Only 89 were registered in 2012 and from 1996 to 2013 1268 collective marks were registered at OHIM compared with more than 1.1 million indi-

¹¹⁵ *Ibid.*, at para 55.

¹¹⁶ OJ L 154, 16.6.2017, pp. 1–99.

¹¹⁷ OJ L 104, 24.4.2018, pp. 37–56.

vidual Community trade marks over that period.¹¹⁸ This is attributed to their 'lack of promotion', an unclear legal framework and 'confusion arising due to an overlap with other rights, such as geographical indications and certification trademarks' and 'wrong filing strategies'.¹¹⁹

The Community trade mark provisions apply to Community collective marks, **6.93** unless Arts 67–74 Community Trade Mark Regulations provide otherwise. A Community collective trade mark is subject to broadly the same examination procedure and conditions as individual marks. In general terms, the classification of goods and services, examination of formalities and of absolute grounds for refusal is done according to the same procedure as that applied to individual trade marks. The OHIM Trade Marks Manual explains that examiners will check the list of goods and services or the language requirements in the same way as they do with individual trade marks.¹²⁰ Likewise, whether the Community Collective Trade Mark falls under one of the grounds for refusal of Art 7 Community Trade Mark Regulation will also be examined.

The examination of a Community Collective Trade Mark will also consider **6.94** the exceptions and particularities of this kind of mark. These exceptions and particularities refer both to the formal and substantive provisions. As regards formalities, the requirement of the regulations governing use of the mark is, for example, a specific characteristic of a Community collective trade mark.

(a) Definition

Article 66(1) provides that: **6.95**

A Community collective mark shall be a Community trade mark which is described as such when the mark is applied for and is capable of distinguishing the goods or services of the members of the association which is the proprietor of the mark from those of other undertakings. Associations of manufacturers, producers, suppliers of services, or traders which, under the terms of the law governing them, have the capacity in their own name to have rights and obligations of all kinds, to make contracts or accomplish other legal acts and to sue and be sued, as well as legal persons governed by public law, may apply for Community collective marks.

A Community collective mark is thus aimed at distinguishing the goods and **6.96** services of the members of an association which owns the mark from those

118 Dimitris Botis, Deputy Director for Legal Affairs at OHIM, 'Collective and certification marks in the EU' www.worldipreview.com/news/ecta-2013-explaining-the-mysterious-collective-ctm accessed 4 April 2024.

119 Ibid.

120 OHIM Trade Marks Manual, Part B: Examination, Section 2: Examination of Formalities, 7.2 Collective Marks.

of other companies which do not belong to that association. Therefore, the Community collective mark qualifies the commercial origin of certain goods and services by informing the consumer that the producer of the goods or the service provider belongs to a certain association and that it has the right to use the mark.

6.97 Case R0675/2010–2,¹²¹ which concerned an application by a group of farmers for the collective mark ‘BIODYNAMIC’, was held by the Second Board of Appeal of OHIM to be a descriptive word and not registrable under Art 7(1) (c) as it described the characteristics of the goods which other enterprises might legitimately wish to use in the course of trade.

6.98 Unlike certification marks which are available in some countries, collective marks do not necessarily certify the quality of the goods, although this is sometimes the case. For example, the OHIM Trade Marks Manual has pointed out that regulations governing use frequently contain provisions to certify the quality of the goods and services of the members of the association and this is acceptable.¹²² It is for the applicant to decide whether the trade mark is applied for as a collective mark or as an individual mark.

(b) Eligible applicants

6.99 The OHIM Trade Marks Manual points out that ownership of collective community trade marks is limited to (i) associations of manufacturers, producers, suppliers of services, or traders which, under the terms of the law governing them, have the capacity in their own name to have rights and obligations of all kinds, to make contracts or accomplish other legal acts and to sue and be sued; and (ii) legal persons governed by public law.¹²³ The first category of owners typically comprises private associations with a common purpose or interest with their own legal personality and capacity to act. Therefore, multiple applicants with separate legal personality or temporary unions of companies cannot be owners of a Community collective mark. As regards the second type of owners, the concept ‘legal persons governed by public law’ is broadly interpreted by OHIM to include for example, ‘Consejos Reguladores’ or ‘Colegios Profesionales’ under Spanish Law and other legal persons governed by public law such as, for example, the European Union, states or municipalities, which do not necessarily have a corporate structure.¹²⁴ When

121 Decision of 15 February 2011.

122 OHIM Trade Mark Manual, 83, citing OHIM decision of 10/05/2012, R 1007/2011–2, at para 13.

123 Ibid., at para 84.

124 Ibid.

the applicant for a Community collective mark is such a legal person governed by public law OHIM does not require details concerning membership in the regulations to be filed.¹²⁵

(c) Permitted use of a geographical name in accordance with honest practices in industrial or commercial matters

Article 66(2) provides that a collective mark shall not entitle the proprietor to prohibit a third party from using in the course of trade such signs or indications, provided he uses them in accordance with honest practices in industrial or commercial matters; in particular, such a mark may not be invoked against a third party who is entitled to use a geographical name. **6.100**

For example, an application for the word mark 'ALICANTE' applied for tourist services, should be refused under Art 7(1)(c) of the Community Trade Mark Regulation if it is applied for as an individual Community trade mark, however if it is validly applied for as a Community collective mark (ie it is applied for by an association or a legal person governed by public law and it complies with the other requirements of Community collective marks) and the regulations governing use of the mark contain the authorisation foreseen in Art 67(2), it will be accepted under Art 7(1)(c) of the Community Trade Mark Regulation.¹²⁶ **6.101**

The EU Intellectual Property Office Trade Marks Manual points out that the exception in Art 66(2) exclusively applies to those signs which are descriptive of the geographical origin of the goods and services and that if the Community collective mark is descriptive of other characteristics of the goods or services, this exception does not apply and the application will be refused under Art 7(1)(c).¹²⁷ **6.102**

(d) Prohibited applications

Article 68(1) provides that in addition to the grounds for refusal of a Community trade mark, application for non-compliance with formalities (Art 36) and rejection upon examination (Art 38) and where Art 66 and regulations promulgated under Art 67 are not satisfied, an application can be refused if 'contrary to public policy or to accepted principles of morality'. **6.103**

¹²⁵ Ibid., at para 85.

¹²⁶ Ibid.

¹²⁷ Ibid.

- 6.104** The EU Intellectual Property Office Trade Marks Manual points out that this ground for refusal must be differentiated from that contained in Art 7(1)(f) of the Community Trade Marks Regulation, which prohibits registration of those trade marks which are by themselves contrary to public policy or to accepted principles of morality.¹²⁸ The refusal foreseen in Art 68(1) is said to refer to situations where, regardless of the trade mark, the regulations governing use of the mark contain a provision which is contrary to public policy or to accepted principles of morality, for instance rules which discriminate on the grounds of sex, creed or race. For example, if the regulations contain a clause which prohibits women from using the mark, the Community collective mark will be refused, even if the trade mark does not fall under Art 7(1)(f) of the Community Trade Mark Regulation.¹²⁹
- 6.105** The EU Intellectual Property Office Trade Marks Manual states that the examiner's objection can be waived if the regulations are amended in order to remove the conflicting provision.¹³⁰

(e) Community trade marks and opposition proceedings

- 6.106** In Case C-393/12P *Foundation for the Protection of the Traditional Cheese of Cyprus named Halloumi v OHIM*,¹³¹ on 24 October 2005 German manufacturer Garmo AG filed an application to register the word mark 'Hellim' (the Turkish word for halloumi) as a Community trade mark for 'milk and milk products'. A Cypriot firm filed a notice of opposition against the registration of the above mark based on its own earlier registered Community collective trade mark 'HALLOUMI'. The opposition was based on the likelihood of confusion under Art 8(1)(b) of the Community Trade Mark Regulation. The opposition was dismissed on 10 March 2010, despite the fact that the goods concerned were identical and/or similar on the basis that there was no visual or phonetic similarity between the two marks. This decision of the opposition division was unsuccessfully appealed pursuant to the Board of Appeal of OHIM. The Board held that the 'HALLOUMI' mark was of weak character and coupled with the low visual similarities, there was no likelihood of confusion. The applicant applied to the General Court to annul the Board of Appeal's decision, but it upheld the decision of the Board of Appeal. The applicant had argued that its mark was at least of average distinctiveness due to its collective status. This argument was rejected by the court which held that

128 Ibid., at para 86.

129 Ibid.

130 Ibid.

131 Judgment, 13 June 2013.

the mere fact that ‘HALLOUMI’ is a collective mark does not automatically make it a mark of great or even average distinctiveness.

A successful opposition to the registration of a trade mark was an application **6.107** to the Spanish Patent and Trade Mark Office (SPTO), filed on 30 August 2012, to register the figurative trade mark ‘CAFÉ NARIÑO’ for coffee and artificial coffee in Class 30. It was rejected on the ground (among others) that it conflicted with a Colombian GI, ‘CAFÉ DE COLOMBIA’, which enjoyed protection in the EU.¹³²

(f) Misleading applications

Article 68(2) provides that an application for a Community collective mark **6.108** shall also be refused ‘if the public is liable to be misled as regards the character or the significance of the mark, in particular if it is likely to be taken to be something other than a collective mark’. Case R0675/2010–2¹³³ concerned an application by a group of farmers for the collective mark ‘BIODYNAMIC’. The term refers to an organic type of agriculture. The application was rejected and an appeal refused by the Second Board of Appeal of OHIM on the ground that the application in truth concerned a guarantee or certification in breach of Art 68(2) of the Community Trade Mark Regulation as ‘the public is liable to be misled as regards the character or the significance of the mark, in particular if it is likely to be taken to be something other than a collective mark’.

The EU Intellectual Property Office Trade Marks Manual gives as examples **6.109** of misleading applications those which mislead as regards the character or the meaning of the mark, in particular if it is likely to be perceived as something other than a collective mark and a collective mark which is available for use only by members of an association which owns the mark which gives the impression that it is available for use by anyone who is able to meet certain objective standards.¹³⁴

The issue of a misleading application for a Community collective was raised **6.110** recently in an application for the mark ‘BARCELONA’ for all 45 Nice classes, which authorised persons linked with the city of Barcelona or with its metropolitan area to use this mark. This was said to be misleading as it excluded persons with a link to the province of Barcelona.

¹³² See www.marques.org/class46/Default.asp?XID=BHA3257 accessed 4 April 2024.

¹³³ Decision of 15 February 2011.

¹³⁴ Ibid.

(g) Observations by third parties

- 6.111** Article 69 provides that in addition to the opposition procedure provided for in Art 41, any person, group or body referred to in that Article may submit to the Office written observations based on the particular grounds on which the application for a Community collective mark should be refused under the terms of Art 66.
- 6.112** The proposed regulation to amend the Community Trade Marks Regulation proposes the replacement of Art 69 by the following: ‘Where written observations on a European collective mark are submitted to the Agency pursuant to Article 40, those observations may also be based on the particular grounds on which the application for a European collective mark shall be refused pursuant to Article 68.’

(h) Use of marks

- 6.113** Article 70 provides that use of a Community collective mark by any person who has authority to use it shall satisfy the requirements of this Regulation, provided that the other conditions which this Regulation imposes with regard to the use of Community trade marks are fulfilled.
- 6.114** Where regulations concerning use are amended, Art 71(1) requires the proprietor of a Community collective mark to submit to OHIM any amended regulations governing use.
- 6.115** Article 12(5) of Regulation (EU) No 1151/2012 of the European Parliament and of the Council of 21 November 2012 on quality schemes for agricultural products and foodstuffs¹³⁵ provides that without prejudice to Directive 2000/13/EC,¹³⁶ the collective geographical marks referred to in Art 15 of Directive 2008/95/EC¹³⁷ may be used on labels, together with the PDO or PGI.

(i) Grounds for revocation

- 6.116** Article 73 provides that apart from the grounds for revocation provided for in Art 51, ie:

¹³⁵ OJ L 343, 14.12.2012, p. 1.

¹³⁶ Directive 2000/13/EC of the European Parliament and of the Council of 20 March 2000 on the approximation of the laws of the Member States relating to the labelling, presentation and advertising of foodstuffs (OJ 2000 L 109, p. 29).

¹³⁷ Directive 2008/95/EC of the European Parliament and of the Council of 22 October 2008 to approximate the laws of the Member States relating to trade marks (OJ L 299, 8.11.2008).

- (a) within a continuous period of five years, the trade mark has not been put to genuine use in the Community in connection with the goods or services in respect of which it is registered, and there are no proper reasons for non-use;
- (b) if, in consequence of acts or inactivity of the proprietor, the trade mark has become the common name in the trade for a product or service in respect of which it is registered;
- (c) if, in consequence of the use made of it by the proprietor of the trade mark or with his consent in respect of the goods or services for which it is registered, the trade mark is liable to mislead the public, particularly as to the nature, quality or geographical origin of those goods or services;

the rights of the proprietor of a Community collective mark shall be revoked on application to the Office or on the basis of a counterclaim in infringement proceedings, if:

- (a) the proprietor does not take reasonable steps to prevent the mark being used in a manner incompatible with the conditions of use, where these exist, laid down in the regulations governing use, amendments to which have, where appropriate, been mentioned in the Register;
- (b) the manner in which the mark has been used by the proprietor has caused it to become liable to mislead the public in the manner referred to in Art 68(2);
- (c) an amendment to the regulations governing use of the mark has been mentioned in the Register in breach of the provisions of Art 71(2), unless the proprietor of the mark, by further amending the regulations governing use, complies with the requirements of those provisions.

(j) Grounds for invalidity

Article 74 provides that apart from the grounds for invalidity provided for in Arts 52 and 53, a Community collective mark which is registered in breach of the provisions of Art 68 shall be declared invalid on application to the Office or on the basis of a counterclaim in infringement proceedings, unless the proprietor of the mark, by amending the regulations governing use, complies with the requirements of those provisions. **6.117**

(k) Delegation of powers

To deal with the period referred to in Art 67(1) within which an applicant for a Community collective mark must submit regulations governing its use, the proposed regulation to amend the Community Trade Mark Regulation proposes the insertion of Art 74a which provides: **6.118**

The Commission shall be empowered to adopt delegated acts in accordance with Article 163 specifying the period referred to in Article 67(1) for submitting the regulations governing use of the European collective mark to the Agency and the content of those regulations as set out in Article 67(2).

(l) Community trade marks and the Trade Marks Directive

6.119 Article 15(1) of the Trade Marks Directive provides that without prejudice to Art 4 (which deals with grounds for refusal or invalidity concerning conflicts with earlier rights) Member States whose laws authorise the registration of collective marks may provide that such marks shall not be registered, or shall be revoked or declared invalid, on grounds additional to those specified in Arts 3 (grounds for refusal of validity) and 12 (grounds for revocation) where the function of those marks so requires.

6.120 Article 15(2) provides that by way of derogation from Art 3(1)(c) (absolute bar to the registration of trade marks which consist exclusively of signs or indications which may serve, in trade, to designate the geographical origin of the goods or services),

Member States may provide that signs or indications which may serve, in trade, to designate the geographical origin of the goods or services may constitute collective, guarantee or certification marks. Such a mark does not entitle the proprietor to prohibit a third party from using in the course of trade such signs or indications, provided he uses them in accordance with honest practices in industrial or commercial matters; in particular, such a mark may not be invoked against a third party who is entitled to use a geographical name.

3. Collective Marks

(a) Introduction

6.121 The EU Trademarks Regulation¹³⁸ provides for the registration of collective marks. Article 74(1) defines an EU collective mark as ‘an EU trade mark which is described as such when the mark is applied for and is capable of distinguishing the goods or services of the members of the association which is the proprietor of the mark from those of other undertakings’. It provides that associations of manufacturers, producers, suppliers of services, or traders which, under the terms of the law governing them, have the capacity in their own name to have rights and obligations of all kinds, to make contracts or accomplish other legal acts, and to sue and be sued, as well as legal persons governed by public law, may apply for EU collective marks.

6.122 Article 74(3) applies the general provisions of the Regulation in Chapters I to VII and IX to XIV to EU collective marks to the extent that this section does not provide otherwise.

138 Regulation (EU) 2017/1001 of the European Parliament and of the Council of 14 June 2017 on the European Union trade mark (codification OJ L 154, 16.6.2017, pp. 1–99).

(b) Definition

Article 74(2) provides that by way of derogation from Art 7(1)(c), signs or indications which may serve, in trade, to designate the geographical origin of the goods or services may constitute EU collective marks within the meaning of para 1. **6.123**

(c) Entitlement to use

Article 74(2) provides that an EU collective mark shall not entitle the proprietor to prohibit a third party from using in the course of trade such signs or indications, provided that he uses them in accordance with honest practices in industrial or commercial matters; in particular, such a mark shall not be invoked against a third party who is entitled to use a geographical name. **6.124**

(d) Regulations

Article 75(1) requires an applicant for an EU collective mark to submit regulations governing use within two months of the date of filing. These regulations governing use are required by Art 75(2) to specify the persons authorised to use the mark, the conditions of membership of the association and, where they exist, the conditions of use of the mark, including sanctions. **6.125**

The Implementing Regulation in Art 16 requires that the regulations governing EU collective marks shall specify: (a) the name of the applicant; (b) the object of the association or the object for which the legal person governed by public law is constituted; (c) the bodies authorised to represent the association or the legal person governed by public law; (d) in the case of an association, the conditions for membership; (e) the representation of the EU collective mark; (f) the persons authorised to use the EU collective mark; (g) where appropriate, the conditions governing use of the EU collective mark, including sanctions; (h) the goods or services covered by the EU collective mark including, where appropriate, any limitation introduced as a consequence of the application of Art 7(1)(j), (k) or (l) of Regulation (EU) 2017/1001; (i) where appropriate, the authorisation referred to in the second sentence of Art 5(2) of Regulation (EU) 2017/1001. **6.126**

(e) Refusal of application

Article 76(1) provides that in addition to the grounds for refusal of an EU trade mark application provided for in Arts 41 and 42 of the Regulation, an application for an EU collective mark shall be refused where the provisions of Arts 74 or 75 are not satisfied, or where the regulations governing use are contrary to public policy or to accepted principles of morality. Also Art 76(2) **6.127**

provides that an application for an EU collective mark shall also be refused if the public is liable to be misled as regards the character or the significance of the mark, in particular if it is likely to be taken to be something other than a collective mark. Article 76(3) provides for amendment of regulations to meet the requirements of paras 1 and 2.

- 6.128** Article 77 allows for observations of third parties ‘on the particular grounds on which the application for an EU collective mark should be refused pursuant to Article 76’.

(f) Use of a mark

- 6.129** Article 78 provides that use of an EU collective mark by any person who has authority to use it shall satisfy the requirements of this Regulation, provided that the other conditions which this Regulation imposes with regard to the use of EU trade marks are fulfilled.

(g) Amendment of regulations governing use

- 6.130** Amendment of the regulations governing use of the EU collective mark may be submitted by the proprietor of an EU collective mark to the EU Intellectual Property Office pursuant to Art 79(1). Article 79(3) also permits written observations made in accordance with Art 77 to be submitted with regard to amended regulations governing use.

- 6.131** Article 79(2) provides that the amendments shall not be mentioned in the Register if they do not satisfy the requirements of Art 75 or involve one of the grounds for refusal referred to in Art 76.

- 6.132** Article 79(4) provides that for the purposes of applying this Regulation, amendments to the regulations governing use shall take effect only from the date of entry of the mention of the amendment in the Register.

(h) Infringement actions

- 6.133** The persons who are entitled to bring an action for infringement are identified in Art 80(1) as every person who has authority to use an EU collective mark. Article 80(2) permits the proprietor of an EU collective mark to be entitled to claim compensation on behalf of persons who have authority to use the mark where they have sustained damage in consequence of unauthorised use of the mark.

(i) Revocation

Apart from the grounds for revocation provided for in Art 58, Art 81 provides that the rights of the proprietor of an EU collective mark shall be revoked on application to the Office or on the basis of a counterclaim in infringement proceedings, if: **6.134**

- (a) the proprietor does not take reasonable steps to prevent the mark being used in a manner incompatible with the conditions of use, where these exist, laid down in the regulations governing use, amendments to which have, where appropriate, been mentioned in the Register;
- (b) the manner in which the mark has been used by the proprietor has caused it to become liable to mislead the public in the manner referred to in Article 76(2);
- (c) an amendment to the regulations governing use of the mark has been mentioned in the Register in breach of the provisions of Article 79(2), unless the proprietor of the mark, by further amending the regulations governing use, complies with the requirements of those provisions.

(j) Grounds for invalidity

Article 82 provides that apart from the grounds for invalidity provided for in Arts 59¹³⁹ and 60,¹⁴⁰ an EU collective mark which is registered in breach of the provisions of Art 76 shall be declared invalid on application to the Office or on the basis of a counterclaim in infringement proceedings, unless the proprietor of the mark, by amending the regulations governing use, complies with the requirements of those provisions. **6.135**

4. Certification Marks**(a) Introduction**

It will be recalled that collective marks require a holder whose members use the mark. This is to be contrasted with certification marks, which allow a certifying organisation or person to permit traders who comply with the certification requirements to use the mark as a sign for goods or services. In this way certification marks are said to be signs of supervised quality contrasting with collective marks, which do not necessarily imply a claim of quality. The EU **6.136**

139 Ie where the EU trade mark has been registered contrary to the provisions of Art 7; (b) where the applicant was acting in bad faith when he filed the application for the trade mark.

140 Ie where there is an earlier trade mark as referred to in Art 8(2) and the conditions set out in paras 1 or 5 of that Article are fulfilled; where there is a trade mark as referred to in Art 8(3) and the conditions set out in that paragraph are fulfilled; (c) where there is an earlier right as referred to in Art 8(4) and the conditions set out in that paragraph are fulfilled; where there is an earlier designation of origin or GI as referred to in Art 8(6) and the conditions set out in that paragraph are fulfilled; or on the basis of a counterclaim in infringement proceedings.

Trademarks Regulation¹⁴¹ (the Regulation) provides for the registration of certification marks. Article 83(3) provides that Chapters I to VII and IX to XIV apply to certification marks, as well as the specific provisions in Arts 83–93.

(b) Definition

- 6.137** Article 83(1) provides that an EU certification mark shall be an EU trade mark which is described as such when the mark is applied for and is capable of distinguishing goods or services which are certified by the proprietor of the mark in respect of material, mode of manufacture of goods or performance of services, quality, accuracy or other characteristics, with the exception of geographical origin, from goods and services which are not so certified.

(c) Eligible applicants

- 6.138** Article 83(2) provides that any natural or legal person, including institutions, authorities and bodies governed by public law, may apply for EU certification marks provided that such person does not carry on a business involving the supply of goods or services of the kind certified.

(d) Regulations governing use of a certification mark

- 6.139** Article 84(1) provides that an applicant for an EU certification mark shall submit regulations governing the use of the EU certification mark within two months of the date of filing. Article 84(2) requires that the regulations governing use shall specify the persons authorised to use the mark, the characteristics to be certified by the mark, how the certifying body is to test those characteristics and to supervise the use of the mark. Those regulations shall also specify the conditions of use of the mark, including sanctions.
- 6.140** The Implementing Regulation in Art 17 requires the regulations governing use of EU certification marks to specify: (a) the name of the applicant; (b) a declaration that the applicant complies with the requirements laid down in Art 83(2) of Regulation (EU) 2017/1001; (c) the representation of the EU certification mark; (d) the goods or services covered by the EU certification mark; (e) the characteristics of the goods or services to be certified by the EU certification mark, such as the material, mode of manufacture of goods or performance of services, quality or accuracy; (f) the conditions governing the use of the EU certification mark, including sanctions; (g) the persons authorised to use the EU certification mark.

141 Regulation (EU) 2017/1001 of the European Parliament and of the Council of 14 June 2017 on the European Union trade mark (codification OJ L 154, 16.6.2017, pp. 1–99).

Article 84(3) requires the Commission to adopt implementing acts specifying the details to be contained in the regulations referred to in para 2 of this Article. Those implementing acts shall be adopted in accordance with the examination procedure referred to in Art 207(2). **6.141**

(e) Refusal of the application

Article 85(1) provides that in addition to the grounds for refusal of an EU trade mark application provided for in Arts 41 and 42, an application for an EU certification mark shall be refused where the conditions set out in Arts 83 and 84 are not satisfied, or where the regulations governing use are contrary to public policy or to accepted principles of morality. Article 85(2) provides that an application for an EU certification mark shall also be refused if the public is liable to be misled as regards the character or the significance of the mark, in particular if it is likely to be taken to be something other than a certification mark. **6.142**

Article 85(3) provides that an application shall not be refused if the applicant, as a result of an amendment of the regulations governing use, meets the requirements of paras 1 and 2. **6.143**

Article 86 permits written observations on an EU certification mark to be submitted to the EU Intellectual Property Office pursuant to Art 45, which may be based on the particular grounds on which the application for an EU certification mark should be refused pursuant to Art 85. **6.144**

(f) Use of a certification mark

Article 87 provides that use of an EU certification mark by any person who has authority to use it pursuant to the regulations governing use referred to in Art 84 shall satisfy the requirements of the EU Trademarks Regulation provided that the other conditions laid down in this Regulation with regard to the use of EU trade marks are fulfilled. **6.145**

(g) Amendment of the regulations governing use of the EU certification mark

Article 88(1) requires the proprietor of an EU certification mark to submit to the EU Intellectual Property Office any amended regulations governing use. **6.146**

Article 88(2) provides that amendments shall not be mentioned in the Register where the regulations as amended do not satisfy the requirements of Art 84 or involve one of the grounds for refusal referred to in Art 85. **6.147**

6.148 Written observations in accordance with Art 86 may also be submitted with regard to amended regulations governing use, pursuant to Art 88(3).

6.149 For the purposes of this Regulation, Art 88(4) provides that amendments to the regulations governing use shall take effect only as from the date of entry of the mention of the amendment in the Register.

(h) Transfer

6.150 Article 89 provides that by way of derogation from Art 20(1), an EU certification mark may only be transferred to a person who meets the requirements of Art 83(2).

(i) Persons who are entitled to bring an action for infringement

6.151 Article 90(1) provides that only the proprietor of an EU certification mark, or any person specifically authorised by him to that effect, shall be entitled to bring an action for infringement.

(j) Remedies

6.152 Article 90(2) provides that the proprietor of an EU certification mark shall be entitled to claim compensation on behalf of persons who have authority to use the mark where they have sustained damage as a consequence of unauthorised use of the mark.

(k) Grounds for revocation

6.153 Article 91 provides that in addition to the grounds for revocation provided for in Art 58, the rights of the proprietor of an EU certification mark shall be revoked on application to the Office or on the basis of a counterclaim in infringement proceedings, where any of the following conditions is fulfilled:

- (a) the proprietor no longer complies with the requirements set out in Article 83(2);
- (b) the proprietor does not take reasonable steps to prevent the EU certification mark being used in a manner that is incompatible with the conditions of use laid down in the regulations governing use, amendments to which have, where appropriate, been mentioned in the Register;
- (c) the manner in which the EU certification mark has been used by the proprietor has caused it to become liable to mislead the public in the manner referred to in Article 85(2);
- (d) an amendment to the regulations governing use of the EU certification mark has been mentioned in the Register in breach of Article 88(2), unless the proprietor of the mark, by further amending the regulations governing use, complies with the requirements of that Article.

(l) Grounds for invalidity

In addition to the grounds for invalidity provided for in Arts 59 and 60, Art 92 provides that an EU certification mark which is registered in breach of Art 85 shall be declared invalid on application to the Office or on the basis of a counterclaim in infringement proceedings, unless the proprietor of the EU certification mark, by amending the regulations governing use, complies with the requirements of Art 85. **6.154**

(m) Conversion

Article 93 provides that without prejudice to Art 139(2), conversion of an application for an EU certification mark or of a registered EU certification mark shall not take place where the national law of the Member State concerned does not provide for the registration of guarantee or certification marks pursuant to Art 28 of Directive (EU) 2015/2436.¹⁴² **6.155**

5. Choice Between Collective and Certification Marks

A certification mark is only available where the applicant is connected with those who wish to use the mark only through the certification process, whereas members of the association may use, or not, a collective mark to indicate membership and compliance with the conditions for membership. A certification mark in distinguishing the goods or services which are certified is considered to be more protective of consumers.¹⁴³ **6.156**

A certification mark is not used by its owner. The certification mark owner controls the use of the mark by others on the certified goods or services by taking steps to ensure that the mark is applied only to products that contain or display the requisite characteristics or meet the specified requirements that the certifier has established or adopted for the certification. **6.157**

Collective marks indicate commercial origin of goods or services in members of a group rather than origin in any one member or party. All members of the group use the mark; therefore, no one member can own the mark, and the collective organisation holds the title to the collectively used mark for the benefit of all members of the group. The collective organisation might conduct advertising or other promotional activities to publicise the mark and promote the business of the members. **6.158**

¹⁴² Directive (EU) 2015/2436 of the European Parliament and of the Council of 16 December 2015 to approximate the laws of the Member States relating to trade marks (OJ L 336, 23.12.2015, pp. 1–26).

¹⁴³ Belson, 2002, at 340–352.

6. Choice between Trade Mark Protection and Geographical Indications Protection

- 6.159** The Community trade mark is a unitary right providing registered trade mark protection throughout the European Union renewable at ten intervals, indefinitely, while the mark continues in use. The rights accorded PGIs and PDOs are of indefinite duration, so long as the conditions of the product specification continue to be met.
- 6.160** The Community trade mark system has the procedural advantage of convenience and cost effectiveness of registration. Any natural or legal person can apply for a Community trade mark or a Community collective trade mark registration either through the trade mark office of an EU Member State or directly at the OHIM. With the accession of the EU to the Madrid Protocol for the International Registration of Marks, applicants can simply designate the Community trade mark system when applying for an international registration. With the extension of the Community Trade Marks Act to certification marks these advantages will extend to that category of marks.
- 6.161** The EU system for the registration of GIs, on the other hand, requires applications to the national authorities, which forward them to the European Commission for further scrutiny. Third countries, however, benefit from a one-step process, either filing applications online or sending them to the Commission via their national authorities.¹⁴⁴
- 6.162** It is pointed out that despite the similarity between trade mark protection and the protection of GIs, there are substantive differences that impact upon their respective registrability and scope of protection. For example, applicants for geographical Community trade marks are likely to spend proportionately more on prosecuting or defending opposition actions, due to trade mark law's presumption that geographical names are *prima facie* descriptive, and therefore available for the use of other traders throughout the European market.¹⁴⁵
- 6.163** Within the GIs regime account should be taken of the different requirements for PDO and PGI protection. To be designated as a PDO a product must not only originate in a particular place but its quality must be exclusively due to its geographical environment with its inherent natural and human factors. In comparison, to be designated as a PGI the product must be produced,

¹⁴⁴ See http://ec.europa.eu/agriculture/quality/schemes/index_en.htm accessed 4 April 2024.

¹⁴⁵ See Evans, 2010, at 651.

processed, or prepared in the geographical area, and the quality, reputation, or other characteristics must be generally ‘attributable’ rather than ‘essentially due’ to that area. A PDO will confer stronger protection as usually all elements of production and processing will be included in the specification.

The choice between PDO and PGI will invariably turn on the proximity of the product with the place of production.¹⁴⁶ For example, where production requires the sourcing of some raw materials from outside the defined geographical area, then the PGI will be the only available option. **6.164**

In the absence of the necessary linkage of a product’s reputation with the place of production, protection under the trade mark system will be the only practical option. For example, the government of Ethiopia was unable to establish the geographical link for its speciality coffees ‘HARRAR’, ‘YIRGACHEFFE’ and ‘SIDAMO’ and thus decided upon Community trade marks protection.¹⁴⁷ **6.165**

Trade marks registration enjoys the flexibility of the availability of licensing the mark and it also avoids the obligation of ensuring the monitoring of production standards, which GIs protection obliges. **6.166**

Of course the advantages of both systems can be enjoyed through dual protection. Invariably, a PGO or PGI will be accompanied by a registered house brand. This is certainly a characteristic of the wine trade. **6.167**

C. RELEVANCE OF TRIPS AND INTERNATIONAL INSTRUMENTS IN THE INTERPRETATION OF EUROPEAN TRADE MARKS LAW

Probably because of the recent history of the EU before a WTO dispute panel interpreting the GIs and trade marks provisions of the TRIPS Agreement, the ECJ has taken account of the WTO TRIPS Agreement in its interpretation of the language of its legislation. In Case C-245/02 *Anheuser-Busch Inc v Budějovický Budvar*¹⁴⁸ the ECJ said that since the Community is a party to the TRIPS Agreement, ‘it is indeed under an obligation to interpret its trade-mark legislation, as far as possible, in the light of the wording and purpose of that agreement’.¹⁴⁹ It observed that: **6.168**

¹⁴⁶ Ibid., at 652.

¹⁴⁷ See Mengistie, 2010.

¹⁴⁸ [2005] ETMR 286.

¹⁴⁹ Ibid., at para 42.

when called upon to apply national rules with a view to ordering measures for the protection of rights in a field to which the TRIPS Agreement applies and in which the Community has already legislated, as is the case with the field of trade marks, the national courts are required under Community law to do so, as far as possible, in the light of the wording and purpose of the relevant provisions of the TRIPs Agreement.¹⁵⁰

1. Temporal Application of the TRIPS Agreement

6.169 In Case C-245/02 *Anheuser-Busch Inc v Budějovický Budvar*¹⁵¹ the Court held that applying Art 70(2) of the TRIPS Agreement, obligations apply in respect of 'all subject-matter existing ... and which is protected' on the date of application of that Agreement to a Member of the WTO so that, 'from that date, such a member is required to fulfil all the obligations arising from that agreement in respect of that existing subject-matter'.¹⁵²

6.170 Furthermore, the Court pointed out that Art 70(4) of the TRIPS Agreement applied to acts in respect of specific objects embodying protected subject matter which become infringing under the terms of legislation in conformity with that Agreement, and which were commenced, or in respect of which a significant investment was made, before the date of acceptance of the WTO Agreement. In such a situation, Art 70(4) allows the Members to provide for limitations of the remedies available to the holder of the right against continued performance of such acts after the date of application of the TRIPS Agreement to the WTO Member concerned.¹⁵³ Thus in the case before it the acts which the defendant was alleged to have committed had occurred before the date of application of the TRIPS Agreement but continued after that date, so the Court ruled that the TRIPS Agreement applied to that situation.¹⁵⁴

2. Relevant Signs

6.171 The Court in Case C-245/02 *Anheuser-Busch Inc v Budějovický Budvar*¹⁵⁵ ruled that the relevant provisions of national trade mark law must be applied and interpreted to the effect that the exercise of the exclusive right conferred on the proprietor of the trade mark to prevent the use of the sign of which that mark consists or of a sign similar to that mark must be reserved to cases in which a third party's use of the sign prejudices or is liable to prejudice the

150 Ibid., at para 55.

151 [2005] ETMR 286.

152 Ibid., at para 49.

153 Ibid., at para 50.

154 Ibid., at para 52.

155 [2005] ETMR 286.

functions of the trade mark. It privileged the essential function of a trade mark in guaranteeing consumers the correct origin of the goods to which they are applied.¹⁵⁶ It noted that ‘this interpretation was moreover, supported by the general purpose of the TRIPS Agreement’ which is to ensure that a balance is maintained between the aim of reducing distortions and impediments to international trade and that of promoting effective and adequate protection of intellectual property rights so as to ensure that the measures and procedures to enforce intellectual property rights do not themselves become barriers to legitimate trade.¹⁵⁷ The Court considered that distinction also ‘to be appropriate in the light of the specific object of Article 16 of the TRIPS Agreement, which is to guarantee a minimum standard of exclusive rights agreed at international level’.¹⁵⁸

The ECJ also considered applicable the exceptions provided for in Art 17 of the TRIPS Agreement, which ‘are intended, inter alia, to enable a third party to use a sign which is identical or similar to a trade mark to indicate his trade name, provided that such use is in accordance with honest practices in industrial or commercial matters’.¹⁵⁹ **6.172**

3. ‘Existing Prior Right’

The final question raised in Case C-245/02 *Anheuser-Busch Inc v Budějovický Budvar*¹⁶⁰ was whether and, if so, under what conditions, a trade name which is not registered or established by use in the state in which the trade mark is registered and in which protection against the trade name in question is sought may be regarded as an existing prior right within the meaning of the third sentence of Art 16(1) of the TRIPS Agreement, having regard in particular to that Member State’s obligations to protect the trade name under Art 8 of the Paris Convention and Art 2(1) of the TRIPS Agreement.¹⁶¹ **6.173**

The Court observed that it is apparent from the examinations to be carried out by the national court that the use made of the trade name falls within the scope of the first sentence of Art 16(1) of the TRIPS Agreement; the proprietor of the trade mark has an exclusive right to prevent such use, subject to the provi- **6.174**

¹⁵⁶ Ibid., at para 71.

¹⁵⁷ Ibid., at para 72.

¹⁵⁸ Ibid., at para 73.

¹⁵⁹ Ibid., at para 85.

¹⁶⁰ [2005] ETMR 286.

¹⁶¹ Ibid., at para 86.

sions of Art 17 of that Agreement.¹⁶² However, the third sentence of Art 16(1) of the TRIPS Agreement provides that that exclusive right must not prejudice any 'existing prior right' which the Court took to mean that, where the proprietor of a trade name has a right falling within the scope of the TRIPS Agreement which arose prior to that conferred by the trade mark with which it is alleged to conflict and which entitles him to use a sign identical or similar to that trade mark, such use cannot be prohibited by virtue of the exclusive right conferred by the trade mark on its proprietor under the first sentence of Art 16(1) of the TRIPS Agreement.¹⁶³

4. Protection of Trade Names

- 6.175** The Court in Case C-245/02 *Anheuser-Busch Inc v Budějovický Budvar*¹⁶⁴ observed that a trade name is a right falling within the scope of the term 'intellectual property' within the meaning of Art 1(2) of the TRIPS Agreement. Article 2(1) of the TRIPS Agreement expressly incorporates the protection of trade names, for which specific provision is made in Art 8 of the Paris Convention, and thus the ECJ ruled that the members of the WTO are under an obligation to protect trade names.¹⁶⁵
- 6.176** Applying Art 8 of the Paris Convention the ECJ noted that the protection of trade names may not be made subject to any registration requirement.¹⁶⁶
- 6.177** In referring to the specific issues raised by the case it concluded that a trade name which is not registered or established by use in the Member State in which the trade mark is registered and in which protection against the trade name in question is sought may be regarded as an existing prior right within the meaning of the third sentence of Art 16(1) of the TRIPS Agreement if the proprietor of the trade name has a right falling within the substantive and temporal scope of that Agreement which arose prior to the trade mark with which it is alleged to conflict and which entitles him to use a sign identical or similar to that trade mark.¹⁶⁷

162 Ibid., at para 87.

163 Ibid., at para 89.

164 [2005] ETMR 286.

165 Ibid., at para 92.

166 Ibid., at para 96.

167 Ibid., at para 100.

D. UNREGISTERED TRADE MARKS – PASSING OFF

In situations where a trade mark is absolutely barred from registrability because of a reference to a geographical place or region, an alternative mode of protection is reliance upon the tort of passing off. This has long been used to protect geographical designations in common law jurisdictions. In civil law jurisdictions, unfair competition law performs an equivalent role. **6.178**

1. Elements of the Action in Passing Off

The law of passing off is concerned with the protection of reputation and goodwill from misrepresentations made in the course of trade which cause damage. In the UK the elements of the action were set out by Lord Diplock in *Erven Warnink bv v J Townend & Sons Ltd*¹⁶⁸ (the *Advocaat* case) and abbreviated to three requirements by Lord Oliver in *Reckitt & Colman Products Ltd v Borden Inc*¹⁶⁹ (the *Jif lemon* case): **6.179**

First, he must establish a goodwill or reputation attached to the goods or services which he supplies in the mind of the purchasing public by association with the identifying 'get-up' (whether it consists simply of a brand name or a trade description, or the individual features of labelling or packaging) under which his particular goods or services are offered to the public, such that the get-up is recognised by the public as distinctive specifically of the plaintiff's goods or services. Secondly, he must demonstrate a misrepresentation by the defendant to the public (whether or not intentional) leading or likely to lead the public to believe that goods or services offered by him are the goods or services of the plaintiff. Whether the public is aware of the plaintiff's identity as the manufacturer or supplier of the goods or services is immaterial, as long as they are identified with a particular source which is in fact the plaintiff. For example, if the public is accustomed to rely upon a particular brand name in purchasing goods of a particular description, it matters not at all that there is little or no public awareness of the identity of the proprietor of the brand name. Thirdly, he must demonstrate that he suffers or, in a *quia timet* action that he is likely to suffer, damage by reason of the erroneous belief engendered by the defendant's misrepresentation that the source of the defendant's goods or services is the same as the source of those offered by the plaintiff.

The *Advocaat* case had concerned the claim by the Dutch producers of an egg-flavoured alcoholic drink that the use of the word 'Advocaat' used by the UK-based defendants suggested a Dutch origin for their product. Lord Fraser in outlining the elements of a passing off action said that: **6.180**

¹⁶⁸ [1979] AC 731, at 742 D–E.

¹⁶⁹ [1990] RPC 341, at 406.

It is essential for the plaintiff in a passing-off action to show at least the following facts: – (1) that his business consists of, or includes, selling in England a class of goods to which the particular trade name applies; (2) that the class of goods is clearly defined, and that in the minds of the public, or a section of the public, in England, the trade name distinguishes that class from other similar goods; (3) that because of the reputation of the goods, there is goodwill attached to the name; (4) that he, the plaintiff, as a member of the class of those who sell the goods, is the owner of goodwill in England which is of substantial value; (5) that he has suffered, or is really likely to suffer, substantial damage to his property in the goodwill by reason of the defendants selling goods which are falsely described by the trade name to which the goodwill is attached.¹⁷⁰

2. Geographical Marks and Passing Off

6.181 From its earliest development the British law of passing off prevented the misuse of geographical terms. In *Dunnachie v Young & Sons*¹⁷¹ the defendants were enjoined from marking their fire bricks ‘Young Glenboig’ and advertising them as ‘made from Glenboig clay’, because they were made from a seam of clay about two miles from Glenboig.

6.182 The principal development of passing off law in relation to GIs occurred with the *Spanish Champagne case*,¹⁷² which formed the basis of protection for champagne not only in England but also other common law jurisdictions. The question which the court had to consider in that case was whether use of the term ‘Spanish Champagne’ could be used in relation to a sparkling wine not produced in the French Champagne district. The suit was instituted by one of the French champagne houses on behalf of themselves and all other persons who produce wine in the Champagne district and supply such wine to England and Wales. The plaintiffs alleged that wine produced by the champagne houses and supplied by them to England and Wales, was a naturally sparkling wine produced in the Champagne district by a process of double fermentation from the grapes grown in the Champagne district and that it was long known to the trade and public throughout the UK as champagne and had as such acquired a high reputation. They alleged that any member of the trade or public in the UK ordering champagne or seeing wine advertised or offered for sale as champagne, would expect the wine so ordered, advertised or offered for sale, to be a naturally sparkling wine produced in the Champagne district from grapes grown in the Champagne district and no other.

6.183 The trial judge observed that:

¹⁷⁰ [1979] AC 731, 755 G–756 A.

¹⁷¹ (1883), 10 R. (Ct. of Sess.) 874.

¹⁷² *HP Bollinger v Costa Brava Wine Company Ltd* [1959] 3 All ER 800.

The region in which the Champagne vineyards are found is about a 100 miles east of Paris around Rheims and Epernay, where there is a chalky, flinty soil and the climate is subject to extreme variations of heat and cold. It appears that these factors give to the wine its particular qualities. Since 1927 the Champagne Viticole District has been strictly limited by law, and only certain vineyards are allowed in France to use the name 'Champagne'. Wines produced from these vineyards are sold as 'Champagne', but goodwill has also become attached to the names of the shippers, or 'brand names' as they are called. The wine is a naturally sparkling wine made from the grapes produced in the Champagne district by a process of double fermentation which requires a considerable amount of care.

He ruled that it was established that 'Champagne' in England meant the product produced in the Champagne district of France by the plaintiffs and the other growers and shippers of that district. **6.184**

This decision was followed in the '*Sherry case*'¹⁷³ in which Spanish sherry producers claimed exclusive rights in the mark 'Sherry' which they derived from the Jerez district of Spain. They sought to enjoin the use of the mark, 'British Sherry'. The Court found that the term 'Sherry' was indeed a GI, but that the plaintiffs were disqualified from a remedy because they had acquiesced for a long time in the use in the English market of marks such as 'Australian Sherry' and 'South African Sherry'. **6.185**

The *Scotch Whisky* case¹⁷⁴ was the third in the line of English cases on protecting GIs. The questionable practice was the export of Scotch whisky to Ecuador where it was to be resold under the labels 'White Abbey' and 'Scottish Archer' Scotch whisky after being admixed with local cane spirit. The evidence in the case disclosed that there were two basic types of Scotch whisky: that made from malted barley only, and grain whisky, which is made from malted barley together with unmalted barley in varying proportions. These whiskies were produced by two different processes: the pot-still process for malt whisky and the patent or Coffey Still process for grain whisky. Almost all of the whisky sold to the public is blended whisky, where a number of malt whiskies are blended with a number of grain whiskies to produce the whisky sold to the public under brand names. The formula for each brand is secret. There was evidence that there were no blenders of Scotch outside Scotland and England. The Court held that producers of Scotch fell within the principle enunciated in the *Spanish Champagne* case and were entitled to have upheld the description of their product as 'Scotch whisky'. **6.186**

173 *Vine Products Ltd & Others v Mackenzie & Company Ltd & Others* [1969] RPC 1.

174 *John Walker & Sons Ltd v Henry Ost & Company Ltd* [1970] 2 All ER 106.

- 6.187** Similar results were obtained by the Scotch whisky manufacturers in passing off cases in South Africa. In *William Grant v Cape Wine & Distillers*¹⁷⁵ the Court held that a blend of Scotch whisky with local spirit, together with advertising material showing a Scotsman in full Highland dress and carrying the slogan ‘ten years in Scotland makes all the difference’, was actionable. In *Long John International v Stellenbosch Wine Trust*¹⁷⁶ the Court enjoined the sale of a product called ‘Ben Nevis Scotch Whisky Liquor’ with a Scottish theme to the label. The drink actually consisted of whisky distilled with water and sweetened with sugar.

3. Geographical Marks and Protectable Reputation

- 6.188** The problem for claimants in relying on passing off to protect their geographical marks is that where the relevant mark is descriptive of a geographical region or location as the place of manufacture, a claimant will fail if he can establish no more than that. In *Chocosuisse Union des Fabricants Suisses de Chocolat v Cadbury*¹⁷⁷ the Court of Appeal pointed out that something more is necessary. This requirement was explained by Chadwick LJ:¹⁷⁸

The words ‘Swiss chocolate’ are, [as Laddie J pointed out at first instance¹⁷⁹] ... descriptive in nature. They are clearly apt to describe chocolate made in Switzerland. But they are also apt to describe chocolate made to a Swiss recipe with Swiss expertise by a Swiss manufacturer. If the words are no more than descriptive – whether of the place of manufacture or of the identity of the manufacturer – they cannot found an action in passing-off. The judge identified the point, correctly in my view, in the following passage of his judgment¹⁸⁰ ‘It is only if they [the words “Swiss chocolate”] are taken by a significant part of the public to be used in relation to and indicating a particular group of products having a discrete reputation as a group that a case of passing off can get off the ground. I have had to bear this in mind when assessing the evidence of what the words mean to members of the public. If they convey nothing more than their descriptive meaning the action must fail.’

- 6.189** There were, therefore, two questions to be addressed on this part of the case: (i) would the words ‘Swiss chocolate’ have been taken by a significant section of the public in England at the relevant time to mean, and to mean only, chocolate made in Switzerland; and if so, (ii) did chocolate made in Switzerland have

175 (1990) 3 SA 897.

176 [1990] 4 SA 136.

177 [1999] R.P.C. 826.

178 *Ibid.*, at 832.

179 [1998] RPC 117, at 129.

180 *Ibid.*, lines 31–36.

a discrete reputation, distinct from other chocolate, which the Swiss Chocolate Manufacturers were entitled to protect?

It is not necessary that the ‘something more’ must consist of a reputation for higher quality or cachet. As Patten LJ explained in *Diageo North America Inc v Intercontinental Brands (ICB) Ltd*¹⁸¹ (the *Vodkat* case): **6.190**

But there is no legal requirement that the distinctiveness of the claimant’s mark should also be a badge of quality. Whether it generates goodwill in relation to the goods or services sold will inevitably be determined by the impact which they have on consumers. Doubtless the better the quality or the more fashionable they are, the more likely it is that the necessary reputation and goodwill will be acquired. But this factor is evidential in character and largely co-incidental. The law of passing-off is there to protect the unlawful appropriation of goodwill through misrepresentation. It is not there to guarantee to the general consumer the quality of what he buys. For that he must look elsewhere.¹⁸²

In *Fage UK Ltd v Chobani UK Ltd*¹⁸³ Briggs J analysed the earlier cases by identifying that the fundamental question ‘is whether the geographical trade name has a pulling power that brings in custom, so that reputation and goodwill can properly be said to be enjoyed by all producers within the class which use that name for their product’.¹⁸⁴ This case concerned the term ‘Greek yoghurt’, which Briggs J held had attracted substantial goodwill beyond a mere description of its place of origin to which consumers were indifferent.¹⁸⁵ **6.191**

In *Taittinger v Allbev* the High Court was concerned with the use of the name ‘Elderflower Champagne’ for the use of a soft drink.¹⁸⁶ Despite the unlikelihood of English consumers thinking that the champagne houses of France were now involved in the production of soft drinks, the Court took the view that the international significance of appellations of origin prevented their misuse, even in an apparently innocuous context. **6.192**

4. Geographical Marks and Product Processing

The Scottish passing off case *Argyllshire Weavers v Macauley*¹⁸⁷ discussed an issue which has been raised in a number of European GIs cases, namely **6.193**

¹⁸¹ [2010] EWCA Civ 920; [2011] RPC 110.

¹⁸² *Ibid.*, at para 29.

¹⁸³ [2013] EWHC 630 (Ch).

¹⁸⁴ *Ibid.*, at para 125.

¹⁸⁵ *Ibid.*, at para 133.

¹⁸⁶ [1994] 4 All ER 75 CA.

¹⁸⁷ [1962] ScotCS CSIH_2 1962 SLT 310, 1962 SC 388, [1962].

whether the place of processing is part of the protectable reputation of a product. The defendants in the case were a London-based company which had used the words 'Harris Tweed' in its advertising for cloth made from pure virgin Scottish wool in the Islands of Harris and Lewis and the adjacent islands of the Outer Hebrides for a period exceeding 25 years. The plaintiffs claimed that all the cloth-making processes, including dyeing, spinning, hand weaving and finishing, had to be carried out in the Outer Hebrides.¹⁸⁸

6.194 In *Scotch Whisky Association v Glen Kella Distillers Ltd*¹⁸⁹ the plaintiff trade association, whose members included the majority of the makers of the leading brands of Scotch whisky, brought an action in the High Court objecting to the sale by the defendant of a drink known as 'Glen Kella', which was called 'white whisky' and which was made by the re-distilling of matured and blended Scotch whisky in the Isle of Man. The plaintiffs contended that Glen Kella was not whisky by reason of the fact that it was not matured after distillation and accordingly, its sale as whisky was in breach of Art 1(4)(b) of Council Regulation (EEC) No 1576/89 of 29 May 1989 laying down general rules on the definition, description and presentation of spirit drinks,¹⁹⁰ which required that the 'spirit drink' concerned should have undergone a process of maturation for at least three years in wooden casks after its production as a liquid by distillation and that the sale of Glen Kella under the name 'whisky' amounted to passing off.

6.195 Rattee J upheld the passing off claim as there was a real risk of damage if the defendant were allowed to continue to call its product 'whisky' when it was not, the damage being an insidious erosion of the reputation or 'aura' of true whisky in the minds of potential consumers.

5. Genericity

6.196 As with trade marks and GIs, genericity can be an obstacle to a successful action in passing off. This was raised incidentally in the 1913 case *Anderson v Britcher*.¹⁹¹ The respondent had been charged with unlawfully selling as 'Demerara sugar' a sugar that was 'cane sugar crystals coloured with an organic dye foreign to genuine Demerara sugar, so that the sugar was not of the quality, substance, or nature of the article demanded by the purchaser'. It was

188 *Macaulay (A.) (Tweeds) Ltd v Independent Harris Tweed Producers Ltd* [1961] Patent Cases Reports, Part 8, p. 184.

189 [1997] ETMR 470.

190 OJ 1989 L 160, p. 1, no longer in force.

191 (1913) 24 Cox's Criminal Law Cases, 60.

found by a police magistrate that the sugar was a crystallised cane sugar grown in Mauritius and coloured with dye. The magistrate dismissed the charge, finding that the term 'Demerara sugar' was a:

generic term applicable to any sugar of the substance, kind, and colour of the sugar in question wherever produced, and that therefore the said sugar was of the nature, substance, and quality of the article demanded by the appellant, the purchaser, and that accordingly the sale was not to his prejudice, and that no offence had been committed by the respondent.

The case was appealed to the Kings Bench Court. In dismissing the appeal, the Court agreed with the magistrate's view on the genericity of 'Demerara' and observed that: **6.197**

It would appear that 'Demerara sugar' does not mean sugar having certain qualities peculiar to Demerara sugar, but it means a sugar which is cane sugar and which has a particular colour owing to certain treatment, and it is stated that Demerara sugar as originally produced was white, and probably if a person asked for Demerara sugar and was offered real Demerara sugar in its natural state he would refuse it. This sugar which the appellant got when he asked for Demerara sugar was Demerara sugar in every single particular as understood by everybody who deals with such things, except that it was grown, not in Demerara, but in Mauritius.

It was stated and admitted that with regard to Demerara sugar the word 'Demerara,' as applied to sugar, does not mean sugar grown only in Demerara; it means sugar grown in Demerara, or in Grenada, Martinique, or St. Kitts, or Tobago, or Barbados, or Dominics [sic] or in many other islands of the West India group, and therefore the case really is hardly distinguishable from that of a Brussels carpet, which nobody supposes to be necessarily a carpet made in Brussels, or the case of a Cambridge sausage, which I suppose nobody believes to come necessarily from Cambridge.¹⁹²

E. DOMAIN NAMES AND GEOGRAPHICAL INDICATIONS

1. Internet Corporation for Assigned Names and Numbers (ICANN)

ICANN is responsible for the allocation of generic Top Level Domains (gTLDs), such as .com, .net and .org. Since 2006 it has been considering the extension of the categories of gTLDs. At its meeting in Singapore in June 2011, ICANN formally approved an expansion of these domains by introduc- **6.198**

¹⁹² Ibid, at 65.

ing up to 1400 new gTLDs. ICANN is currently considering in excess of 2000 applications.¹⁹³ These include in addition to the names of cities:

- .bzh (Breton community)
- .eus (Basque Language)
- .gal (Galician language)
- .lat (Latin America)
- .africa (African and Pan African communities)
- .scot (Scots community).¹⁹⁴

6.199 The Government Advisory Committee (GAC) to the ICANN Board has expressed concerns about the use and protection of new geographic domains in the new gTLDs. In 2007 it issued ‘GAC Principles regarding New gTLDs’,¹⁹⁵ which advised that ICANN should avoid delegation of new gTLDs concerning country, territory or place names, and regional language or people descriptions, unless in agreement with the relevant governments or public authorities. Those GAC Principles also stated that new registries should adopt procedures for blocking/challenge of names with national or geographical significance at the second level upon demand of governments. The GAC has expressed reservations regarding a number of new gTLD applications on grounds of correspondence to geographical or other terms, advising the ICANN Board not to proceed beyond initial evaluation for these, and seeking further clarification from the Board on the scope for applicants to modify their new gTLD applications to address specific GAC concerns.

6.200 In 1999 ICANN adopted the Uniform Domain Name Dispute Resolution Policy (UDRP), which went into effect on 1 December 1999, for all ICANN-accredited registrars of Internet domain names. As is discussed below, the WIPO Arbitration and Mediation Centre is the principal ICANN-accredited domain name dispute resolution provider.

6.201 In anticipation of the July 2013 meeting of ICANN in Durban, the Organization for an International Geographical Indications Network (oriGIn) called on ICANN to set up a dispute resolution system so that prior rights for geographic indications could be taken into account in the process for the attribution of new gTLDs.¹⁹⁶ However, the participating countries were unable to agree. Ermert (2013) reported that US and Australian representatives criticised

193 See <https://gtldresult.icann.org/application-result/applicationstatus> accessed 4 April 2024.

194 Ibid.

195 See http://gac.icann.org/web/home/gTLD_principles.pdf accessed 4 April 2024.

196 Saez, 2013.

as discriminatory the European Federation of Origin Wines' (EFOW) action to use an ICANN GAC recommendation to the ICANN Board to block the application process for .vin and .wine. Ermert noted that 'Governments at ICANN in the past were able to agree on stern protection of trademark rights in the new TLD procedure, but the protection of geographical indications is an unresolved issue in ongoing international negotiations'.¹⁹⁷

Although the UDRP will remain as the principal avenue for the resolution of new gTLD disputes, ICANN has proposed a Uniform Rapid Suspension (URS) System for appropriate cases.¹⁹⁸ This provides for (i) a URS Lock, which prevents a domain name from being updated, transferred or deleted; (ii) URS Suspension; or (iii) URS Rollback, the reversion of a domain name to a Non-URS state. **6.202**

2. Domain Names at WIPO

Under the UDRP, WIPO is the leading ICANN-accredited domain name dispute resolution provider.¹⁹⁹ While the mandatory application of the UDRP is limited to domain names registered in gTLDs, such as .com, .net and .org, WIPO's arbitration centre also assists country code top level domain (ccTLD) registries in their establishment of registration conditions and dispute resolution procedures, which are mostly modelled after the UDRP, but may take account of the particular circumstances and needs of individual ccTLDs. The WIPO Arbitration and Mediation Centre in September 2013 provided domain name dispute resolution services to 69 ccTLD registries.²⁰⁰ **6.203**

The possible need for the protection of GIs in the Domain Name System (DNS) was discussed in the final report of the first WIPO Internet Domain Name Process dated 30 April 1999. The possibility of extending the UDRP to GIs was considered premature because of the lack of global harmonisation of international GIs norms.²⁰¹ **6.204**

¹⁹⁷ Ibid.

¹⁹⁸ See <http://newgtlds.icann.org/en/applicants/urs> accessed 4 April 2024.

¹⁹⁹ See Forrest, 2013.

²⁰⁰ Standing Committee on the Law of Trademarks, Industrial Designs and Geographical Indications, Thirtieth Session, 4–8 November 2013, WIPO Doc SCT/30/5, 'Update on Trademark-Related Aspects of the Domain Name System', 20 September 2013, at para 7.

²⁰¹ See WIPO Standing Committee on the Law of Trademarks, Industrial Designs and Geographical Indications, Tenth Session, 28 April–2 May 2003, 'Internet Domain Names and Geographical Indications' WIPO Doc SCT/10/6, 3 April 2003, at 2.

- 6.205** On 28 June 2000 WIPO received a letter of request from the government of Australia, as well as 19 governments of its other Member States, to initiate a second WIPO process to address ‘the issues raised, in the domain name space, *inter alia*, by bad faith, abusive, misleading or unfair use of [among other identifiers] geographical indications ...’.²⁰² In response to this request, on 10 July 2000, WIPO commenced the Second WIPO Internet Domain Name Process.
- 6.206** The final report of the Second WIPO Internet Domain Name Process of 3 September 2001 referred to problems experienced in the DNS by a number of organisations concerned with protecting the interests of the users of GIs. These included the Office international de la vigne et du vin (OIV) and the Institut national des appellations d’origine (INAO). The OIV reported that ‘... a very large number of Internet domain names consist of geographical indications of recognised traditional denominations that are regulated by the Member States of the OIV and have been communicated to the OIV by them’ and that among these domain names, ‘there are a number which are particularly confusing for Internet users and constitute commercial piracy or a misappropriation of notoriety ... certain registrations are offered for sale to the highest bidder or are linked to inactive sites, evidencing bad faith’.²⁰³
- 6.207** The OIV submitted a study conducted by the Fédération des syndicats de producteurs de Châteauneuf du Pape (the Federation of Producers’ Associations of Châteauneuf du Pape), which argued that ‘a large number of domain names have been registered which correspond to appellations of origin and geographical indications of wine-derived growing products, as well as wine varieties, without there being any relationship between the domain name registrants and the persons who hold rights in these distinctive signs’.²⁰⁴
- 6.208** Although it accepted the evidence of abuse the final Report of the Second WIPO Internet Domain Name Process concluded that because views were divided it was ‘recommended that no modification be made to the UDRP, at this stage, to permit complaints to be made concerning the registration and use of domain names in violation of the prohibition against false indications of source or the rules relating to the protection of geographical indications’.²⁰⁵

202 Ibid., at 3.

203 Ibid., at 4.

204 Ibid. A representative selection of domain names covered by this study were submitted by OIV and INAO.

205 Ibid., at 9.

The final Report was also submitted to Special Sessions of the WIPO Standing Committee on the Law of Trademarks, Industrial Designs and Geographical Indications (SCT) which were held from 29 November–4 December 2001, and from 21–24 May 2002. The SCT was also unable to reach consensus on this subject for much the same reasons that the WTO discussions on the extension of Art 23 of the TRIPS Agreement and the establishment of the multilateral system for the protection of GIs for wines and spirits has faltered. **6.209**

3. WIPO DNS Panel Decisions on Geographical Domain Names

(a) Uniform Domain Name Dispute Resolution Policy

Under para 4(a) of the Policy, a complainant has the burden of proving the following: **6.210**

- (i) that the disputed domain name is identical or confusingly similar to a trade mark or service mark in which the complainant has rights; and
- (ii) that the respondent has no rights or legitimate interests in respect of the disputed domain name; and
- (iii) that the disputed domain name has been registered and is being used in bad faith.

A respondent to demonstrate 'rights or legitimate interest' had to demonstrate in accordance with para 4(c) of the Policy: **6.211**

- (a) that he used or has made preparations to use the domain name or a name corresponding to the domain name in connection with a *bona fide* offering of goods or services prior to the dispute;
- (b) that he is commonly known by the domain name, even if he has not acquired any trade mark rights; or
- (c) that he intends to make a legitimate, non-commercial or fair use of the domain name without intent for commercial gain to misleadingly divert consumers or to tarnish the trade mark.

For the purpose of para 4(a)(iii) of the Policy, the following circumstances, in particular but without limitation, if found by the panel to be present, shall be evidence of the registration and use of the domain name in bad faith: **6.212**

- (i) circumstances indicating that the holder has registered or has acquired the domain name primarily for the purpose of selling, renting, or otherwise transferring the domain name registration to the complainant who is the owner of the trade mark or service mark or to a competitor of that complainant, for valuable consideration in excess of the holder's documented out-of-pocket costs directly related to the domain name; or
- (ii) the holder has registered the domain name in order to prevent the owner of the trade mark or service mark from reflecting the mark in a corresponding domain name, provided that the holder has engaged in a pattern of such conduct; or

- (iii) the holder has registered the domain name primarily for the purpose of disrupting the business of a competitor; or
- (iv) by using the domain name, the holder has intentionally attempted to attract, for commercial gain, Internet users to the holder's website or other online location, by creating a likelihood of confusion with the complainant's mark as to the source, sponsorship, affiliation, or endorsement of the holder's website or location or of a product or service on the holder's website or location.

6.213 Paragraph 15(a) of the Rules requires the panel to '... decide a complaint on the basis of the statements and documents submitted in accordance with the Policy, these Rules and any Rules and principles of law that it deems applicable'.

6.214 Decisions of WIPO panellists applying its UDRP have held that some geographical terms can be protected under the UDRP if the complainant has shown that it has rights in the term and that the term is being used as a trade mark for goods or services other than those that are described by or related to the geographical meaning of the term. The fact that a domain is a GI protected under European law is considered, applying the final report of the Second WIPO Internet Domain Name Process, to be a matter outside the policy.

6.215 A number of the important Panel decisions dealing with geographical marks and GIs are digested below.

(b) *Comité Interprofessionnel du vin de Champagne v Steven Vickers*²⁰⁶

6.216 The Complainant was Comité Interprofessionnel du vin de Champagne of Épernay, France, established by statute under the laws of France to defend, preserve and promote the interests of all those involved in the production and marketing of the wines sold under the appellation of origin 'Champagne'. All producers of champagne in the Champagne district of France are required by law to subscribe to the Complainant. According to the Complainant, the expression 'champagne' is distinctive only of wine produced in the Champagne region of France and is registered as a PDO under Regulation (EC) No 491/2009. The Complainant held 27 gTLDs and ccTLDs consisting of the word 'champagne', and a further 101 domain names which include 'champagne' as part of the name. These domain names include <champagne.eu>, <champagne.biz>, <champagne.com>, <champagne.fr> and <champagne.co.uk>. The domain names <champagne.co.uk> and <champagne.com> both revert to the Complainant's websites. The Respondent, Steven Vickers of London, registered the disputed domain name <champagne.co>. He operated

206 [2011] ETMR 56.

an IT consultancy and computer sales business in London and did not trade in champagne or beverages of any kind. The Respondent stated that he decided to register a batch of generic '.co' domain names with a view to future sale. He applied for over 100 such domain names, and all were registered in July/August 2010. A sub-group of these domain names consisted of 13 names which related generally to food or drink. One of them was the domain name <champagne.com>; two others were <brandy.co> and <gin.co>.

The Complainant contended that the domain name was identical or confusingly similar to a trade mark or service mark in which the Complainant had rights, namely that it had become an unregistered trade mark and was protected in the UK under the common law of passing off, and had been so protected in a number of decided cases, including *Taittinger and Others v Allbev Ltd*,²⁰⁷ discussed above. **6.217**

The Claimant pointed out that 'CHAMPAGNE' was protected as a PDO under Regulation (EC) No 491/2009 and the reputation and rights associated with the name Champagne had been recognised in numerous cases throughout the world. **6.218**

As the Respondent did not trade in champagne or beverages of any kind and the domain name bore no resemblance to the Respondent's personal name or to the corporate names with which the Respondent was connected, it was argued by the Claimant that the domain name was registered and was being used in bad faith. The Respondent submitted that the Complainant offered no clear explanation as to why and how the term 'champagne', which is both a dictionary and a highly descriptive word, should be considered as capable of generating unregistered rights for the purposes of the UDRP. **6.219**

i. That the disputed domain name is identical or confusingly similar to a trade mark or service mark in which the complainant has rights

Applying para 4(a) of the UDRP, the Panellist addressed first 'what rights does the Complainant hold in the expression "Champagne"?' The Panel accepted on the evidence as a whole, including an Irish²⁰⁸ and French²⁰⁹ domain name decision and the decision of the Nominet UK appeal panel in *CIVC v Jackson*, that the Complainant held rights in the expression 'Champagne' as an appellation of origin, or as a PDO, or geographical identifier, under relevant European Regulations. However, acknowledging the refusal of the Second **6.220**

²⁰⁷ [1993] FSR 641.

²⁰⁸ *CIVC v Richard Doyle*, Case No DIE 2007-0005.

²⁰⁹ *CIVC v Internet SARL*, Case No DFR 2005-0006.

WIPO Internet Domain Name Process to recommend specifically extending protection to geographical terms under the UDRP, the Panellist ruled that rights in a PDO or a geographical identifier were not sufficient for the Complainant to make out a case of 'rights' under para 4(a)(i) of the UDRP.²¹⁰

- 6.221** As the Complainant did not hold any registered trade mark or service mark (including any certification mark or collective mark) that would have placed it within the policy, it relied on its unregistered trade mark rights, which it said existed under the English law of passing off. The Panellist observed, in this regard, that while a trader may in appropriate circumstances have recourse to the English law of passing off to protect unregistered rights which it has in a trade mark or service mark, the converse did not necessarily apply, that the fact that a trader might have a right to sue in passing off did not necessarily imply that the trader holds an unregistered trade mark or service mark.²¹¹ The Panellist observed that permitting a claimant to assert an unregistered trade mark right under the law of passing off would defeat the intention of the framers of the UDRP that GIs or 'protected designations of origin' should not provide a basis as such for a 'right' under para 4(a)(i) of the Policy.²¹² On this basis the complaint was denied.²¹³

ii. Registered and used in bad faith

- 6.222** In view of the Panel's findings on the lack of the Complainant's justiciable right it was not necessary for the Panel to make any finding on the issue of bad faith, but the Panel noted that it would also have found for the Respondent on this issue.²¹⁴
- 6.223** It was pointed out that the Complainant had not alleged that the Respondent's intention was to sell, rent or otherwise transfer the domain name *to the Complainant or to a competitor of the Complainant* – just that the Respondent's primary intention was to rent, sell or otherwise transfer the domain name *to a third party*.²¹⁵ Even if the Complainant had said that the Respondent's intention was to sell, rent or otherwise transfer the domain name to the Complainant at a profit, the Panel found that the Complainant was not in fact 'the owner of the trademark or service mark', as those words are used in para 4(b)(i).

210 Ibid., at paras 71–74.

211 Ibid., at para 76.

212 Ibid., at para 79 applying the decision of the Nominet UK appeal panel in *CIVC v Jackson* (Nominet UK DRS Case No 4479).

213 Ibid., at para 80.

214 Ibid., at para 86.

215 Ibid., at para 88.

It was also noted that trading in domain names is not per se contrary to the Policy.²¹⁶ **6.224**

iii. Reverse domain name hijacking

Under para 15(e) of the UDRP a panel is obliged to state in its decision any conclusion it might reach that a complainant has brought the complaint in bad faith, for example in an attempt at reverse domain name hijacking. ‘Reverse domain name hijacking’ is defined in the Rules as ‘using the Policy in bad faith to attempt to deprive a registered domain name holder of a domain name’. **6.225**

*Jazeera Space Channel TV Station v AJ Publishing aka Aljazeera Publishing*²¹⁷ **6.226**
ruled by majority that the onus of proving that a complainant has acted in bad faith is on the Respondent, and that mere lack of success of the complaint is not of itself sufficient to constitute reverse domain name hijacking. The Panellist in the current case referred to the three-member panel decision in *Yell Limited v Ultimate Search*,²¹⁸ which had observed that whether a complainant should have appreciated at the outset that its complaint could not succeed will often be an important consideration.²¹⁹ The Respondent submitted that the Complainant could not seriously have thought that it had a real prospect of winning the case because of its failure to secure modification of the UDRP to bring GIs within its ambit and because of the general lack of detail of its claim.²²⁰ However, given the complexity of the law in relation to unregistered trade marks, despite a finding that the Complainant’s arguments were inadequately documented, the Panel was unable to conclude with sufficient confidence that the Complainant acted in bad faith in bringing the Complaint.²²¹

(c) Consejo Regulador del Cava v Adrian Lucas²²²

The Complainant’s name translates into English as The Regulating Council of Cava. It is a trade body attached to the Spanish Ministry of the Environment and Rural and Marine Affairs. It was established in 1993. Its functions include control of production processes for a particular variety of sparkling wine called ‘Cava’ originating primarily from certain specified municipalities mainly in and around the Catalan region of Spain. The Complainant was the registered proprietor of a collective device mark filed with OHIM on 12 December 2003 **6.227**

²¹⁶ Ibid., applying *Media General Communications Inc v Rarenames WebReg WIPO*, Case No D2006–0964.

²¹⁷ WIPO Case No D2005–0309.

²¹⁸ WIPO Case No D2005–0091.

²¹⁹ [2011] ETMR 56, at para 90.

²²⁰ Ibid., at para 92.

²²¹ Ibid., at para 97.

²²² WIPO Case No D2008–1939.

‘CONSEJO REGULADOR CAVA’ for ‘sparkling wine (cava)’ and services relating to the sale and distribution of sparkling wine (cava). The Complainant was also the proprietor of a Community trade mark application filed on 28 May 2008 ‘CAVA DE LA TIERRA AL CORAZON (device)’ for the same goods and services as the previous registration. The Complainant was also the proprietor of the domain name <crcava.es>, which it registered in 1999.

- 6.228** The disputed domain name, <cava.com>, was registered on 26 November 1996. This domain name was connected to a directory page featuring sponsored links to a variety of sites ranging from hotel sites to sites offering sparkling wine for sale. Other links led to sites concerned with other wines and a range of soft drinks. The Respondent’s site indicated that the domain <cava.com> may be for sale by its owner.

i. Identical or confusingly similar

- 6.229** The Panel accepted as fact that ‘Cava’ was protected in Spain and the European Community as a reserved denomination and a GI. However, the Panel noted that under the UDRP the Complainant was not able to rely on these. In relation to the fact that the applicant’s registered trade mark had as its most prominent feature the word ‘CAVA’ in upper case, the Panel found it not difficult to conclude that the disputed domain name was confusingly similar to it.

- 6.230** As for the Complainant’s domain name, <crcava.es>, the Panel had insufficient information to enable it to decide whether the Complainant’s domain name was an unregistered trade mark in which the Complainant had rights. For example, the Panel did not know when the Complainant first started making active use of that domain name, nor did the Panel know the extent to which (if at all) the Complainant had promoted that domain name such as to give it the status of a trade mark or service mark.

ii. Rights or legitimate interests

- 6.231** In light of the evidence put forward by the Complainant, the Panel considered it probable that the Respondent had no connection with ‘Cava’ such as to give him any right or legitimate interest in respect of ‘Cava’.

iii. Registered and used in bad faith

- 6.232** The Panel was unable to agree with the Complainant that the disputed domain name was registered in bad faith. First, the complaint was launched more than a decade after the domain name was registered. While a delay of this length need not have been fatal to a complaint under the Policy, it was nonetheless likely to give rise to evidentiary difficulties.

Secondly, the domain name was not a trade mark or service mark, but a generic term for a genus of wine. Thirdly, there was no direct evidence of intent on the part of the Respondent to target the Complainant at the time of registration. Fourthly, at the date of registration of the disputed domain name, the Complainant did not own any trade mark rights in respect of the word 'cava' per se. While the Complainant was in existence when the domain name was registered, the Panel did not believe that the Respondent could be expected to have anticipated at that time that the Complainant would be able to obtain trade mark rights in respect of the word 'cava'. The Panel also regarded it as unlikely that when the Respondent registered the domain name he had in mind the Complainant and/or any future trade mark rights of the Complainant. The Panel was therefore not persuaded that the Respondent registered the domain name in bad faith within the meaning of para 4(a)(iii) of the Policy. **6.233**

(d) *Consorzio del Prosciutto di Parma v Domain Name Clearing Company, LLC*²²³

The Complainant was a consortium of certified manufacturers of Parma ham and the owner of the certification mark 'PARMA HAM', registered in the USA on 12 November 1996 in relation to 'ham products'. The certificate of registration bears the following mention: 'The certification mark is used by persons authorised by the certifier to certify the regional origin of the product to which the mark is applied.' The Respondent registered the domain name <parmaham.com> on 26 April 1997. On 30 January 1997 it had registered the domain names <prosciutto.com> and <parmaprosciutto.com>, 'Prosciutto' being the Italian word for ham. **6.234**

The Complainant contended that the domain name was identical or confusingly similar to a trade mark in which it had rights, that the Respondent had no rights or legitimate interests in respect of the domain name, and that the Respondent had registered and used the domain name in bad faith. **6.235**

i. Identity or confusing similarity

The Panel held that this was satisfied by the Complainant's ownership of a US registration for the certification word mark 'PARMA HAM', which was identical to the Respondent's domain name. **6.236**

ii. Rights or legitimate interests

In the absence of the assertion of such rights or interests by the Respondent, the Panellist inferred from this default that such rights or legitimate interests in fact did not exist. **6.237**

223 WIPO Case No D2000-0629.

iii. Registration and use in bad faith

- 6.238** As regards subparagraph 4(b)(i) of the UDRP, the Panellist observed that the file did not contain any indication that the Respondent had at any time tried to sell the domain name to the Complainant or a competitor. As regards subparagraph 4(b)(iii), it was not alleged that the Respondent and Complainant were competitors, therefore the registration could not have had the purpose of disrupting a competitor's business. As regards subparagraph 4(b)(iv), as the Respondent did not use the domain name to designate a website, it did not appear that it tried to attract consumers by causing a confusion with the Complainant's company, services or products. Thus, the requirements of subparagraphs (i), (iii) and (iv) were not satisfied in the present case and the Panellist ruled that the Complainant had not demonstrated that the Respondent had engaged in a pattern of registering domain names in order to prevent the owner of trade marks to register them in corresponding domain names.
- 6.239** In relation to other circumstances that may constitute evidence that a domain name was registered or is being used in bad faith, the Complainant referred to its registered certification mark. The Panellist pointed out that as this mark was registered only in November 1996, it was quite possible that the Respondent did not know of this in 1997. Consequently, the Complainant had not satisfied its burden of proof as far as registration in bad faith was concerned.
- (e) *Consorzio del Prosciutto di Parma v Matthias Gasser, Hanslmeier Fleischwarenfabrik*²²⁴
- 6.240** The Complainant was a consortium of certified producers of Parma ham and the owner of registrations of the certification marks 'PARMA', 'PROSCIUTTO DI PARMA' and 'PARMA HAM' in several countries. In 1996 Parma ham was registered as a PDO.
- 6.241** The Respondent registered the domain name <parma-schinken.com> on 7 February 2001. 'Schinken' is the German word for ham. The domain name was used on a website on which the Respondent offered various meat products including products advertised as Parma ham.
- 6.242** Among the arguments of the Complainant were that the domain name was confusingly similar to its registered certification marks because 'Schinken' translates into 'prosciutto' in Italian and 'ham' in English; that the Respondent was aware of the Complainant's rights, and therefore acted in bad faith, because

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it placed on its website a reference to the PDO status of Parma ham; and that the Respondent advertised as ‘Parmaschinken’ certain ham products, which did not appear to originate from producers allowed to sell original Parma ham.

i. Domain Name identical or confusingly similar

The Panel noted that the European PDO status of Parma ham was irrelevant **6.243** because it was outside the UDRP, however the Complainant’s certification marks brought it within the policy and because ‘Schinken’ was the literal German translation of the generic words ‘prosciutto’ and ‘ham’, the Panel found that the domain name was confusingly similar to the Complainant’s certification marks.

ii. Rights and legitimate interest

The Panel pointed out that in determining whether a reseller or service agent **6.244** of trade-marked goods can use the trade mark at issue in its domain names, previous decisions have held that a respondent must at the minimum: (i) actually be offering the goods or services at issue; (ii) use the site to sell only the trade-marked goods; (iii) accurately disclose the registrant’s relationship with the trade mark owner; and (iv) not try to corner the market in all domain names.²²⁵ In this case the Panel considered that the Respondent’s use of the reference to ‘Parma Ham’ was not in good faith. It distinguished the decision *Consorzio del Prosciutto di Parma v Domain Name Clearing Company, LLC*²²⁶ because of the significantly different factual basis, and because in that case the Panel considered that the Respondent had not yet actually used that domain name and concluded that it was possible to conceive of a legitimate use of the term ‘Parma ham’. In the present case, however, the Respondent actually used the domain name in a way which did not qualify as ‘bona fide’. The Panel therefore found that the Complainant had shown that the Respondent had no rights or legitimate interests in respect of the domain name, according to para 4(a)(ii) of the Policy.

iii. Registration and use in bad faith

The Panel held that by using the domain name to sell a multitude of different competing meat products (and not only Parma ham), the Respondent **6.245** attempted to attract, for commercial gain, Internet users looking for Parma ham to its website. The Respondent’s use of the Complainant’s certification marks created a likelihood of confusion in that Internet users might assume that the Respondent’s website was affiliated to or otherwise sponsored by the certified producers of Parma ham. Therefore, the Panel found that the

²²⁵ *Oki Data Americas, Inc. v ASD, Inc.*, WIPO Case No D2001–0903.

²²⁶ WIPO Case No D2000–0629.

Complainant had shown that the Respondent registered and used the domain name in bad faith in the sense of para 4(b)(iv) of the Policy.

- 6.246** The Administrative Panel ordered that the registration of the domain name <parma-schinken.com> be transferred to the Complainant.

(f) Province of Brabant Wallon v Domain Purchase, NOLDC, Inc²²⁷

i. The parties

- 6.247** Brabant Wallon is the geographic denomination of the Belgian province of Brabant Wallon. The Complainant was the public body which governs that geographic area. Since 15 June 1999, it had been the owner of OHIM-registered trade mark No 000613638, comprising the words 'Brabant wallon' (written vertically) and 'la jeune Province' (written horizontally) together with relatively large figurative elements (Vienna classifications 26.3.4, 26.4.1 and 26.13.25). In 1996 the Complainant engaged a company called Aleph One to register domain names related to the province, with registrations for one year. However, Aleph One kept and renewed, on its own behalf, the domain name <brabant-wallon.org>. This domain name was subsequently transferred to different entities before being registered by the Respondent, Domain Purchase, NOLDC, Inc, of New Orleans, Louisiana, USA on 21 November 2003.

- 6.248** The Complainant submitted that the contested domain name was identical or confusingly similar to a trade mark or service mark in which the Complainant had rights, namely the trade mark 'BRABANT WALLON' and that the Respondent had no rights or legitimate interests in respect of the domain name and could not prove any link with the Province of Brabant Wallon that would justify the use of the trade mark as a domain name. These facts were also asserted in support of the Complainant's argument that the domain name was registered and used in bad faith. The Respondent did not reply to the Complainant's contentions.

ii. The Complainant's rights in a geographical trade mark

- 6.249** Although it was acknowledged by the Panellist that geographical terms are not protected as such under the UNDP, it was generally accepted amongst panellists that geographical terms can be so protected if shown by evidence of their use or by registration to have become or to be distinctive of the goods or services of a particular trader. It was a matter of evidence in each case as to whether a complainant had proved that the geographical name functioned as

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a trade mark.²²⁸ In this case the Complainant had established that it has rights in a registered trade mark.

iii. Identical or confusingly similar

The Panel observed that the dominant and immediately striking feature of the registered trade mark on which the Complainant relied was its figurative element comprising a combination of triangles, squares and other shapes forming a design somewhat reminiscent, for example, of a silhouette of sails. This overshadowed the words 'Brabant wallon – la jeune Province'. As the figurative element was an essential element of the Complainant's mark in comparing the disputed domain name with the Complainant's mark, it was apparent that the two were neither identical nor virtually identical, so the Panel ruled that the Complainant had failed to establish this element of its case and that it was therefore unnecessary to consider the issues of legitimacy and bad faith. **6.250**

*(g) Warendorfer Küchen GmbH v MDNH Inc*²²⁹

The Complainant, Warendorfer Küchen GmbH of Warendorf, Nordrhein-Westfalen, Germany, is a German corporation in the business of the development, production and distribution of kitchen furniture. The Respondent, MDNH Inc of Las Vegas, Nevada, USA, registered the domain name <warendorf.com>. On 15 June 2009 the Complainant applied to register in Germany a trade mark consisting of the word 'Warendorf' together with a motif consisting of various triangles. The trade mark was entered on the register on 11 August 2009 and the opposition period began. There are currently three other trade marks registered in Germany that include the word 'Warendorf'. **6.251**

The Complainant argued that the disputed domain name was confusingly similar to the company name Warendorfer Küchen GmbH, and also to the Complainant's service mark 'Warendorfer'. The Complainant stated that the Respondent had no rights or legitimate interests in the disputed domain name, as it did not own any trade mark rights in 'Warendorf' or 'Warendorfer' or offer goods or services under the disputed domain name. The Complainant also stated that the Respondent had acted in bad faith within the meaning of the Policy. **6.252**

²²⁸ Applying *Consejo de Promoción Turística de México, SA de CV v Latin America Telecom Inc*, WIPO Case No D2004-0242.

²²⁹ WIPO Case No D2009-1067.

6.253 The Respondent argued that this dispute concerned a geographical term, and in particular the name of a municipality in Germany, which it had been using as a domain name to provide travel-related advertising.

i. Identical or confusingly similar

6.254 The Panel ruled that the disputed domain name was not identical or confusingly similar to the Complainant's corporate name 'Warendorfer Küchen' for the following reasons: (i) Warendorf is a geographical name, used by numerous businesses; (ii) 'Warendorfer Küchen' is a descriptive term, meaning 'kitchens of Warendorf', and so has little inherent distinctiveness; (iii) the Complainant's trade name consists of two descriptive words in German and does not confer any rights to the two individual words or any derivative of the individual words; (iv) the Complainant uses 'Warendorfer Küchen' as a business name rather than in the active marketing of its products; (v) there was no evidence of actual confusion by Internet users between the Respondent's website and the Complainant's business (such evidence is not routinely required in a UDRP proceeding; and (vi) there was no evidence that the sponsored links on the Respondent's website had ever generated any links to the Complainant or its products. For these reasons, the Panel found that the Complainant failed to prove the first element of the Policy, and the complaint was dismissed.